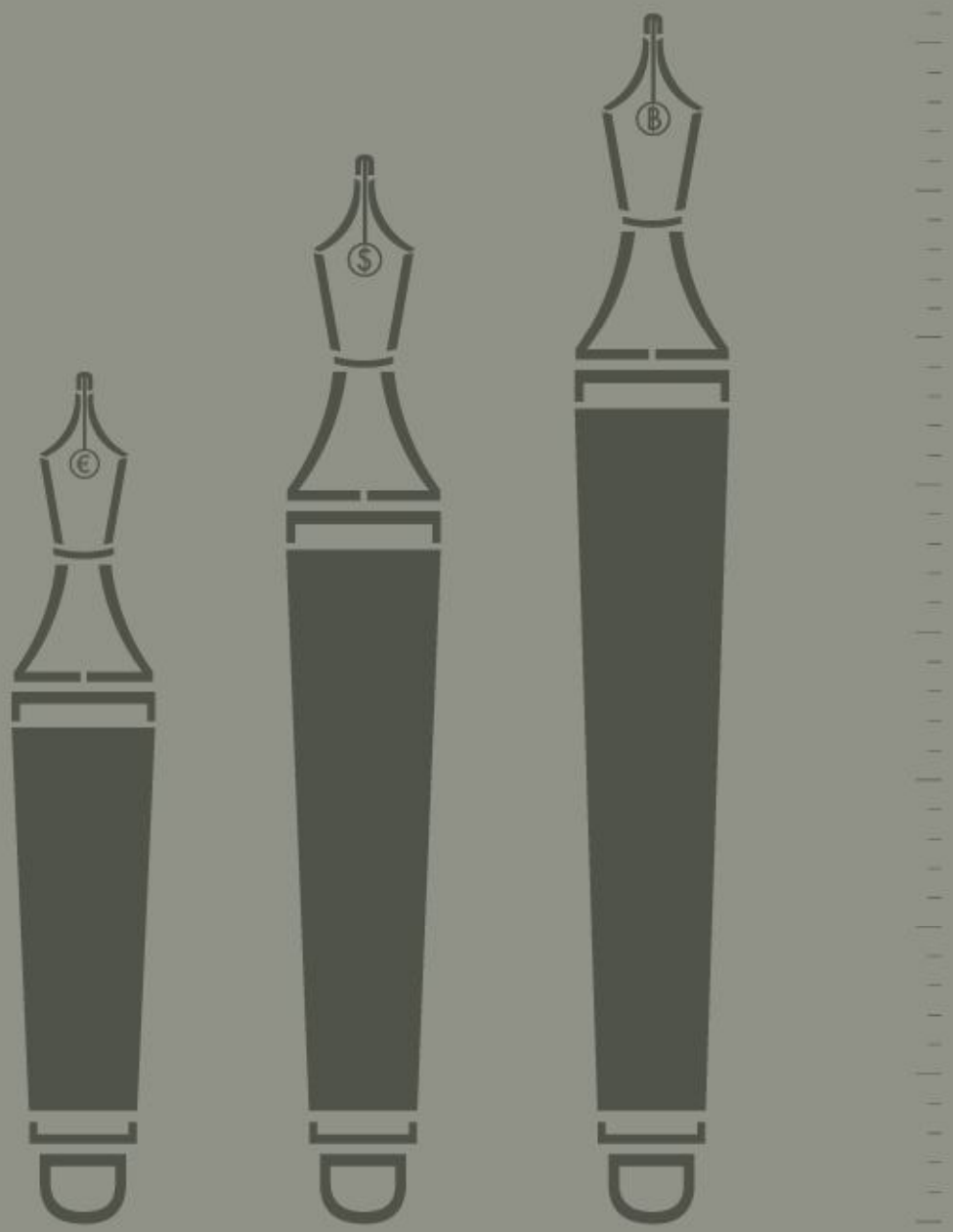
BANK OF THAILAND

MONETARY POLICY REPORT DECEMBER 2014



Monetary Policy Report

The *Monetary Policy Report* is prepared quarterly by staff of the Bank of Thailand with the approval of the Monetary Policy Committee (MPC). It serves two purposes: (1) to communicate to the public the MPC's consideration and rationales for the conduct of monetary policy, and (2) to present the latest set of economic and inflation forecasts, based on which the monetary policy decisions were made.

The Monetary Policy Committee
December 2014

Mr. Prasarn Trairatvorakul	Chairman
Mrs. Pongpen Ruengvirayudh	Vice Chairman
Mr. Paiboon Kittisrikangwan	Member
Mr. Jamlong Atikul	Member
Mr. Porametee Vimolsiri	Member
Mr. Veerathai Santiprabhob	Member
Mr. Sethaput Suthiwart-Narueput	Member

Monetary Policy in Thailand

The Monetary Policy Committee

Under the Bank of Thailand Act, the Monetary Policy Committee (MPC) comprise of the Governor and two deputy Governors, as well as four distinguished external members representing various sectors of the country, with the aim to provide monetary policy decisions that are effective and transparent.

The Monetary Policy Objective

The MPC sets monetary policy with the objective to support sustainable and full potential economic growth, without causing inflationary problems or economic and financial imbalances or bubbles.

The Monetary Policy Target

The National Council for Peace and Order approved the use of quarterly average core inflation with the range of 0.5-3.0 percent per annum, which was jointly proposed by the MPC and the Minister of Finance, as monetary policy target for 2015. In an event that core inflation deviates from the target, the MPC shall explain the reasons behind target breach to the public, together with action plans to bring inflation back to the target.

The Monetary Policy Instrument

The MPC utilizes the 1-day bilateral repurchase transaction rate as the policy rate to signal the monetary policy stance.

Evaluating economic conditions and forecasts

The Bank of Thailand considers information from all sources, the macroeconomic model, data in each economic sector, as well as direct opinions from large enterprises and small and medium-sized enterprises from all over the country, and various financial institutions to ensure that economic evaluations and forecasts are accurate and covers all aspects, both in the macro and micro levels.

Monetary Policy Communication

Recognizing the importance of Monetary Policy communication to the public, the MPC arrange many forms of communication, both in Thai and English, such as (1) organizing a press statement at 14.00 hrs. on the day of the meeting, (2) publishing edited Minutes of the MPC meeting two weeks after the meeting, and (3) publishing the Monetary Policy Report every quarter.

Monetary Policy Report

December 2014

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Growth and Inflation Prospects and Monetary Policy

1. Growth and Inflation Prospects and Monetary Policy

The Thai economy expanded by notably less than previous projection from sluggish recovery in domestic spending and less-than-expected public spending against the backdrop of slowing export momentum. Meanwhile, inflationary pressures eased, owing primarily to declining energy prices and weak demand-pull pressures resulting from slow economic recovery.

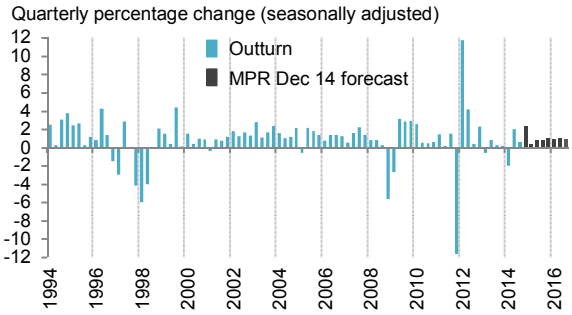
For the past two meetings, the MPC voted to hold the policy rate at 2.00 percent, the level deemed supportive to economic recovery and in line with our mandate to maintain long-term financial stability.

1.1 Growth and inflation prospects

In 2014 and 2015, the Thai economy is likely to expand by notably less than our previous projections. Inflationary pressures eased owing primarily to falling energy prices.

The pace of economy recovery was slower than expected, particularly in 2014 Q3. The momentum of exports of goods and services was fading and the pick-up in private spending remained gradual due to weak farm incomes and high household debt. Consumption of durables remained well below historical averages due to accelerated spending associated with the first-car-rebate scheme and delayed public spending, owing to restrictions on budget disbursement, which is likely to continue into the projection period. The uncertainty over timing of public spending led some businesses to postpone their investment to reassess the outlook and progress on public investment. **Thus, Thailand's economic growth forecast is revised down significantly**

Chart 1.1 Thailand's Quarterly GDP growth



Source: Office of the National Economic and Social Development Board and calculation by Bank of Thailand
Note: At 1988 prices (seasonally adjusted)

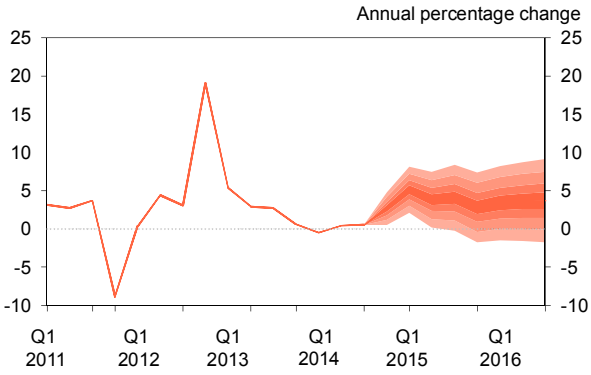
for the entire projection period. (Chart 1.1 and Table 1.1)

Table 1.1 Forecast summary

Percent	2013*	2014	2015
GDP growth	2.9	0.8	4.0
		(1.5)	(4.8)
Headline inflation	2.2	1.9	1.2
		(2.2)	(2.1)
Core inflation	1.0	1.6	1.2
		(1.6)	(1.3)

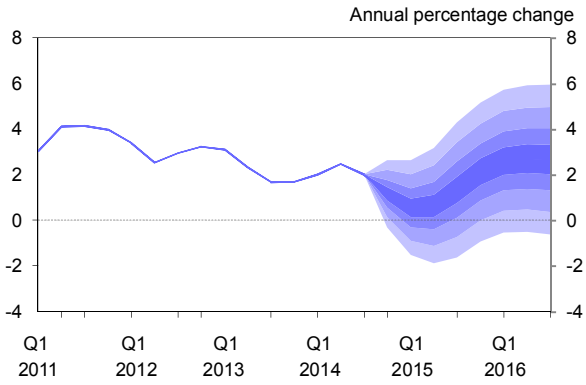
Note: * Outturn
( ) MPR Sep 2014
Source: Office of the National Economic and Social Development Board and calculations by Bank of Thailand

Chart 1.2 GDP growth forecast



Note: The fan chart covers 90 percent of the probability distribution.

Chart 1.3 Headline inflation forecast



Note: The fan chart covers 90 percent of the probability distribution.

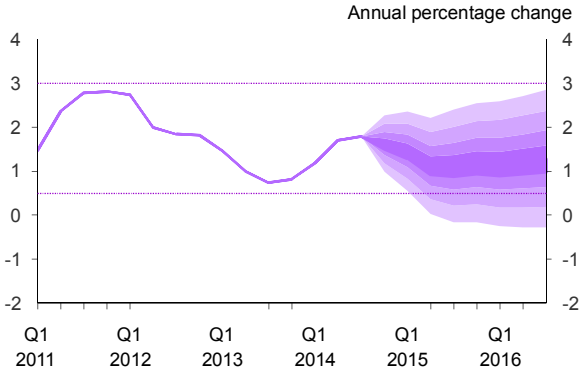
Risks that the Thai economy would deviate from the baseline assessment stemmed from lower trading partners' GDP growth, particularly in the euro area, Japan and Asia where economic recovery remained fragile. These downside risks to exports, along with low farm prices and weak farm incomes, would hamper economic recovery.

Nonetheless, the MPC also considered that upside risks to economic growth forecasts could stem from more effective budget disbursements and stronger recovery in private investment compared to our last projection. In addition, the decline in domestic energy prices could improve households' real purchasing power and lower costs of production, boosting household spending and private investment by more than the baseline assessment.

On the whole, the MPC agreed on an assessment that **the probabilities of the economy expanding lower and higher than the baseline projections were largely similar. The fan chart for growth forecasts is, therefore, balanced throughout the projection period. (Chart 1.2)**

Core inflation projections are adjusted slightly downward in 2015, as a result of waning demand pressures, from subdued economic recovery. This is also reflected by the output gap, which is expected to remain negative throughout the projection period. Slow recovery, coupled with plunging global oil prices from end-2014 onwards, caused **a downward revision to headline inflation projections.** In this regard, the MPC concluded that downside and upside risks to both headline and core inflations are balanced throughout the projection period, as reflected by with the balanced assessments of risks for economic growth and cost pressures from Dubai crude oil prices. **(Charts 1.3 and 1.4)**

Chart 1.4 Core inflation forecast



Note: The fan chart covers 90 percent of the probability distribution.

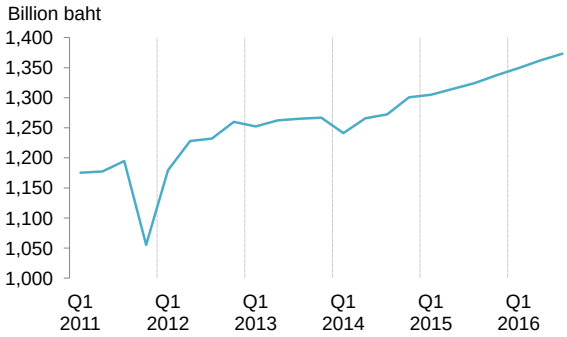
1.2 Economic outlook

The economy is likely to expand at the rate lower than the previous projection. The significant downward revisions to economic growth forecasts stemmed from weak private spending and lower than expected public spending, while growth in merchandise exports is expected to be sluggish, together with slow recovery in the tourism sector. Additionally, some businesses postponed their investments.

In 2014, the Thai economy expanded by notably less than the previous projection, owing to the much weaker economic activity recorded in the third quarter. The weakness in growth performance resulted from lower-than-expected domestic demand and sluggish recovery in exports of goods and services. Moreover, public spending was delayed due to restrictions on budget disbursement and ongoing projects being subjected to further cost and benefit reviews.

Moreover, recovery in private demand remained subdued in the last quarter of 2014, despite the short-term government stimulus. However, the acceleration of exports to the euro area before the expiration of the Generalized System of Preferences (GSP) in early 2015 along with the recovery in the number of Chinese and Malaysian tourists provided a short term lift to economic activity.

Chart 1.5 Level of GDP



Note: At 1988 prices (seasonally adjusted by the Bank of Thailand)
Source: Office of the National Economic and Social Development Board and calculation by Bank of Thailand

Going forward, the economy in 2015 is expected to grow steadily (Chart 1.5), driven by a gradual recovery in private consumption and planned private investments being realized, for example, telecommunications projects. The tourism sector is also expected to improve as concerns over domestic political uncertainty subsided.

Nonetheless, the pace of recovery is slower than previously assessed due to (1) lower-than-expected economic momentum at the end of 2014; (2) slower global economic recovery compared to the previous assessment, resulting in weak merchandise exports; and 3) delayed budget disbursements for public investment which are expected to persist in the near term. Hence, the economic growth forecast in 2015 is lowered from earlier estimates **(Table 1.2)**

Table 1.2 Forecasts for GDP and components

Percent (per annum)	2014	2015
GDP growth	0.8	4.0
Domestic demand	0.5	4.2
Private consumption	0.8	3.1
Private investment	-0.8	7.2
Government consumption	4.1	1.8
Public investment	-5.9	11.0
Exports of goods and services	-0.7	4.2
Imports of goods and services	-4.3	6.1

Note: At 1988 prices

Global economy likely to recover gradually

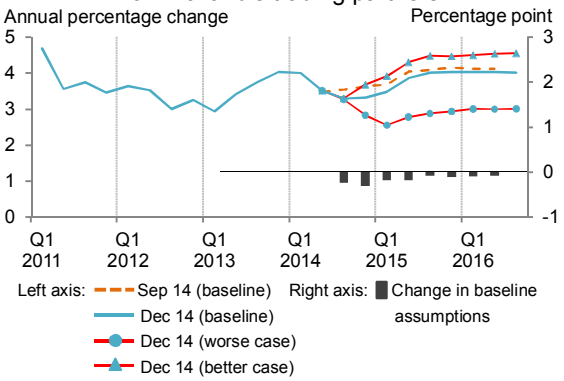
The global economy recovered slowly with the euro area, Japanese and Chinese economies growing slower than the previous projections. Only the U.S. economy was expected to expand steadily.

Thailand's trading partner economies were assessed to recover slower than the previous projections. (Chart 1.6) In particular, core eurozone economies began to show signs of a slowdown while the Japanese economy was more negatively impacted by the consumption tax hike than expected. In contrast, the U.S. economy should continue to grow solidly.

The U.S. economy is expected to continue expanding at a higher rate than our previous projections. **(Chart 1.7)** Factors supportive to growth going forward include a steady improvement in the labor market, better business and consumer sentiment, a decline in oil prices, strengthened households' balance sheet in line with rising asset prices, and the continuing accommodative monetary policy. Our assessment is that the Fed will maintain the fed funds rate before raising it in 2015 Q3, unchanged from our previous assumption.

The Euro area economies is likely to expand at a slower pace than previously projected (Chart 1.8), following the slowdown in the core countries due to worsening sentiment and the prolonged structural reforms in some countries. Nonetheless, looking ahead, recovery of the euro area economies should be underpinned by improving geopolitical situations between Russia and Ukraine, lower oil prices, and a gradual increase in fiscal stimulus that would lend some support to domestic consumption. Moreover, quantitative easing measures; the Targeted

Chart 1.6 Growth assumptions for Thailand's trading partners



Note: Weighted by each country's share in Thailand's total exports

Chart 1.7 Growth assumptions for the U.S.

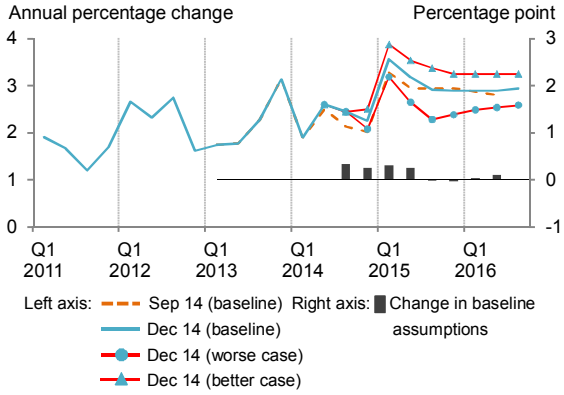
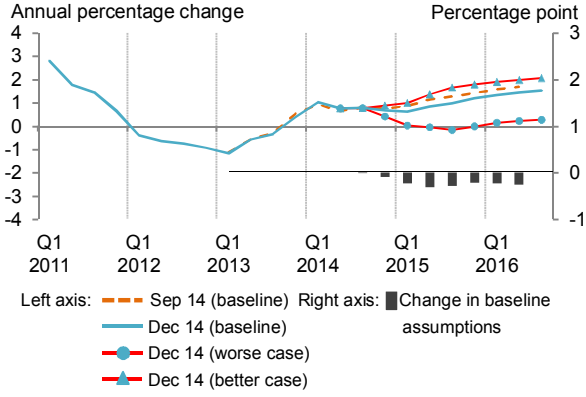
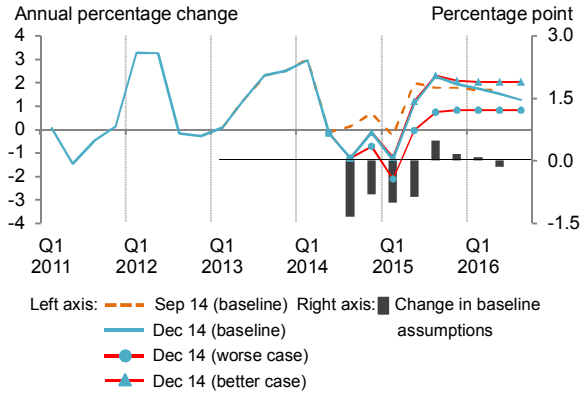


Chart 1.8 Growth assumptions for the euro area



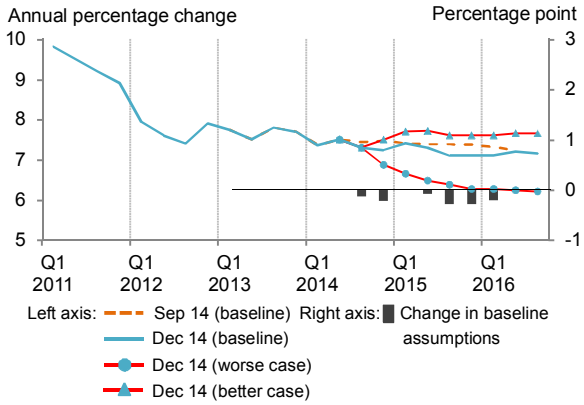
Longer-Term Refinancing Operations (TLTROs), the Covered Bonds Purchase Program and the Asset-Backed Securities Purchase Program; along with additional monetary easing measures and a weaker euro, should further ease monetary conditions and lend further support to economic and financial activity.

Chart 1.9 Growth assumptions for Japan



The Japanese economy was likely to expand at a slower pace than previously projected (Chart 1.9) due to subdued recovery in private consumption and investment. Nonetheless, postponement of the next round of consumption tax hike from October 2015 to April 2017 should shore up private confidence and encourage greater private consumption. More clarity on fiscal stimulus after the general election and recovery in exports likely lends support to growth going forward. However, the benefits to Japan as a result of the weakening yen should be limited due to a change in Japan's trade structure, partly from its increasing reliance on imports of oils and fuel to replace the loss of electricity production from the closure of nuclear power plants.

Chart 1.10 Growth assumptions for China

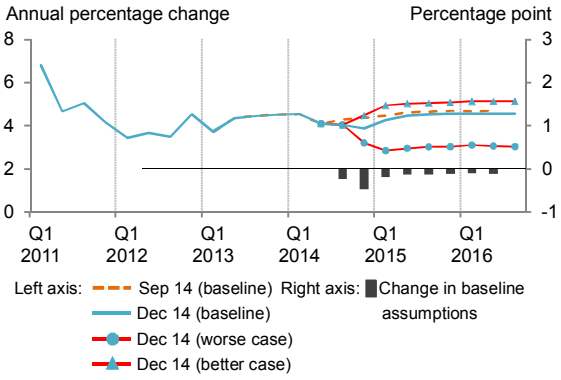


The Chinese economic growth is also revised down from our previous forecast. (Chart 1.10) Investment slowed down, partly as a result of China's policy to reduce its reliance on investment and encourage more domestic consumption, in tandem with tighter supervision over the banking sector and stricter lending standards on local government debt. The efforts were aimed at reducing risky private investments and wasteful infrastructure projects. Exports should continue to improve in line with global economic recovery led by the U.S. Consumption is expected to healthy due to low unemployment. Looking ahead, the MPC agreed that the Chinese administration should be able to achieve the

targeted level of economic growth by simultaneously implementing the necessary structural reforms and launching economic stimulus.

Asian economies (excluding Japan and China) are likely to expand by slightly less than earlier projection (Chart 1.11) due to the slowdown in trading partners' economies, particularly in the euro area and Japan. Going forward, however, Asian economies should continue to expand, driven mainly by a gradual pick-up in exports following recovery of the major economies, especially the U.S. Private consumption is assessed to grow briskly, on the back of solid employment picture and greater household spending powers following the plunge in oil prices. Investment, especially in machinery and equipment, is likely to expand albeit at a slightly slower pace.

Chart 1.11 Growth assumptions for Asian economies
(Excluding Japan and China)



The MPC decided that the rising U.S. dollar following the strength of the U.S. recovery will weigh on the value of Asian currencies compared to the previous projection. As a result, the outlook could cause the Thai baht to weaken slightly against the U.S. dollar, compared to the previous assessment.

A number of downside risks to the global economy remain as follows: (1) weaker economic activity in the euro area and Japan would hamper global growth; (2) a possible increase in capital flow volatility due to diverging monetary policies of major economies; (3) China's structural problems, especially in the shadow banking sector and local government debt overhang ; and (4) a resurgence of geopolitical risks in various regions causing greater volatility in exchange rates and commodity prices.

Thai exports to recover slowly

The downward revision in global economic growth causes a delay in the recovery of Thai exports.

Merchandise exports should recover slowly in line with the global economic growth. Exports of electronics are likely to pick up due to strong demand from major economies. Automobile exports should register a gradual increase as manufacturers expanded to new markets, for example, the U.S. and Europe. Meanwhile, the outlook for exports of machinery and equipment and petrochemical products is more positive with strong demand from neighbor countries. However, **total exports will only expand at a slower pace than forecast throughout the projection period (Table 1.3)**, owing to weaker recovery of foreign demand, lingering production restrictions and the expiration of the European Union's GSP.

Exports of services look set to decline from the previous projections, even though the tourism sector is recovering steadily from better tourist sentiment coupled with additional year-end stimulus measures such as visa fee waiver for Chinese and Taiwanese tourists and temporary allowance for Malaysian tour buses to operate beyond the Songkhla province. While the number of East Asian tourists rebounded swiftly due to the shorter trip preparation, than the European counterparts, the number of European tourists has turned out well below the forecasts from lingering safety concerns, accompanied by the weakening economies of the euro area and Russia. Despite a feeble rebound in the tourism sector, the pace of recovery still exceeded other sectors'. Therefore, the tourism sector is projected to be the main thrust behind economic growth in 2015.

The current account balance[1/] should register a surplus in 2014 and 2015. (Table 1.3) The surplus in 2014 is likely be a result of low imports during the first half of the year, owing to weak domestic demand whereas in 2015 the improvement is projected to stem from a decline in imports on the back of a collapse in oil prices.

Table 1.3 Forecasts for the external sector

	2014	2015
Growth in value of exports* (F.O.B., percent per annum)	-0.5	1.0
Growth in value of imports* (F.O.B., percent per annum)	-7.5	4.0
Trade balance (billion U.S. dollars)*	21.9	16.0
Current account balance (billion U.S. dollars)*	8.6	4.3

Note: *Data revision according to definitions in IMF's Balance of Payments Manual, 6th edition (BPM6), and Ministry of Commerce's revised database

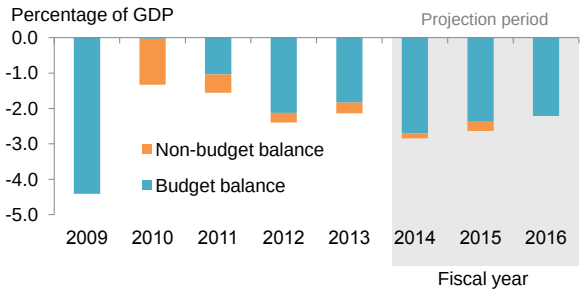
Fiscal spending set to be lower than forecast

The delay in public spending should weaken economic momentum while continuity and clarity of government policies is necessary for the recovery to gain traction.

Public spending continued to be a driver of growth but will provide a smaller boost to growth than our earlier projection. (Chart 1.12 and Table 1.4) Disbursements for public investment was lower than expected due to (1) delay in procurement since the political crisis; (2) postponement of some state enterprise investments due to plan revisions, for instance, the Suvarnabhumi airport extension project phase 2; and (3) contraints on public spending especially on investment such as the shortage of construction labour which caused budget disbursements during the start of fiscal year 2015 to be well below expectations and likely to be prolonged.

The delay in budget disbursements should persist in the near future. Thus, the MPC agreed to revise down the assumptions on disbursement rates for fiscal year 2015 to 92.6 percent from 93.7 percent. The significant downward revision was mainly based on slower disbursements for state enterprise projects.

Chart 1.12 Assumptions on public sector expenditure



Note: Non-budgetary spending includes (1) the Mega Investment Project (Strong Thailand), (2) the water management project, and (3) the Development Policy Loan (DPL)
Source: Public Debt Management Office and Bureau of the Budget and calculation by Bank of Thailand

Table 1.4 Assumptions on public sector expenditure

Unit: Billion baht	Fiscal year		
	2014	2015	2016
General government consumption	1,702.1	1,804.6	1,926.0
Public investment	629.3	705.7	725.8
Total	2,331.4	2,510.3	2,651.8

Note: Includes expenditure assumptions on the water management project and the infrastructure investment project
Source: Bureau of the Budget and calculation by Bank of Thailand

[1/] including reinvested earnings

Although the amount of public spending is likely to be lower than earlier projections, continuity of public investment on infrastructure projects remains key to reduce our transportation bottlenecks, lower logistical costs, enhance production capacity and enable income distribution to rural areas. These should shore up business confidence and encourage more business investment.

Private spending to recover only gradually

Household consumption and private investment are projected to grow at a lower rate than previously assessed.

Household consumption should expand more slowly than the previous projections. Consumption of durable goods, particularly automobiles, is likely to be postponed because of uncertainty in economic prospects. In contrast, consumption of non-durables and services should see a steady pick-up. Looking ahead, a rebound of household consumption will be supported by rising confidence, a gradual improvement in the labor market and firming farm incomes resulting from the economic recovery, and an increase in households' purchasing power following declining energy prices.

However, under the MPC assessment that **household spending growth will remain sub-par for some time** due to the higher household debt level compared to historical averages. The delay in government support measures which would have softened the negative impact of declining farm incomes stemming from falling rice and rubber prices will further weigh on spending. Persistently declining rice price is a result of the government's rice destocking effort. Subdued foreign demand and plunging crude oil prices

continued to exert downward pressures on rubber price.

Private investment is likely to grow by less than the last projection. Pick-ups in investment will only occur in certain industries, for instance in the telecommunications industry where there had been existing plans to upgrade the networks to 3G and 4G to meet higher demands, and in the retail and wholesale industries with branch expansion to major provinces to respond to new demands from neighbor countries once the AEC begins. Most businesses will continue to postpone investment as there is no need to expand production capacity while the economic recovery is ongoing. Additionally, some businesses had already invested over the past 2-3 years. Other businesses prefer to wait for greater clarity on public investment policies and the bidding of government infrastructure projects. Adjustments in investment plans are being made to BOI's new strategy to encourage investment in R&D. Nonetheless, there are positive factors supporting investment, for example, improving investor and manufacturing business sentiment, lower costs of production from declining oil prices, and continuing low interest rates providing tailwinds to businesses. (Additional details in 3.2)

The MPC projection is that should the government fail to offer clarity and continuity of fiscal policies, including commitment to expedite investments in infrastructure projects, private investment will remain sub-par for some time, hurting the country's long-term competitiveness.

Inflationary pressures lower than the previous projections

Inflationary pressures continue to edge lower from falling global crude oil prices and weakened demand-pull pressures

Headline and core inflation are likely to soften from last projections, in line with the falling global inflation trend, resulting from declining crude oil and commodity prices. Additionally, weak demand-pull pressures on the back of slow economic recovery further weigh on inflation. Projections for core inflation for 2015 is revised down marginally while those figures for headline inflation are significantly reduced especially from the end of 2014 to 2015 Q2 before gradually rising following the projected economic recovery.

Inflationary pressures from demand side are likely to be subdued and weaker than earlier estimates throughout the forecast period. The delay in economic recovery caused the output gap, in part reflecting weakening demand, to close later on the timeline than previously assessed. The output gap will continue to narrow gradually with a large negative gap in the first half of 2014 then becoming less negative following the projected economic recovery. However, the output gap is not estimated to close in the entire forecast period. **(Chart 1.13)**

Cost pressures are likely to be down from the previous projections in line with declining crude oil and commodity prices. The Dubai crude oil price **(Chart 1.14)** which fell sharply towards the end of 2014 led the MPC to revise down the baseline projection for Dubai crude oil price in 2014 from 103.5 U.S. dollars per barrel to 97.1 dollars per barrel. The downward revision stemmed from a change in investor

Chart 1.13 Output Gap

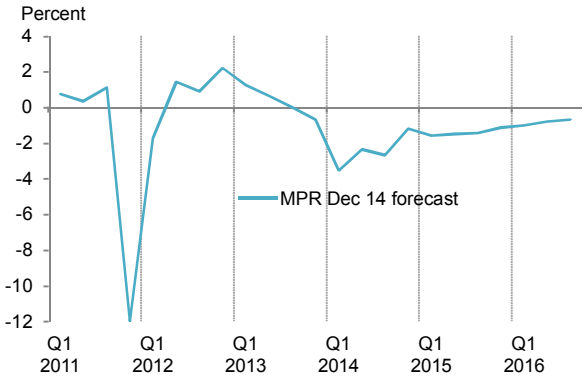
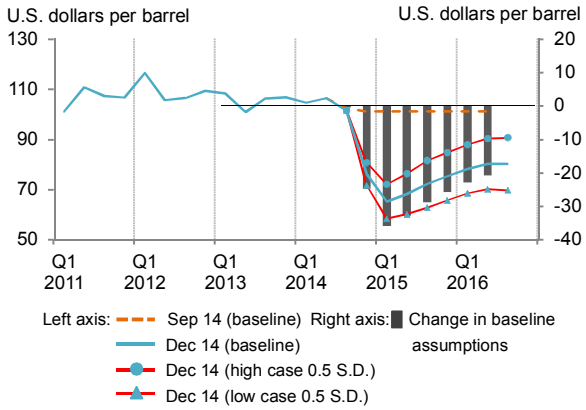


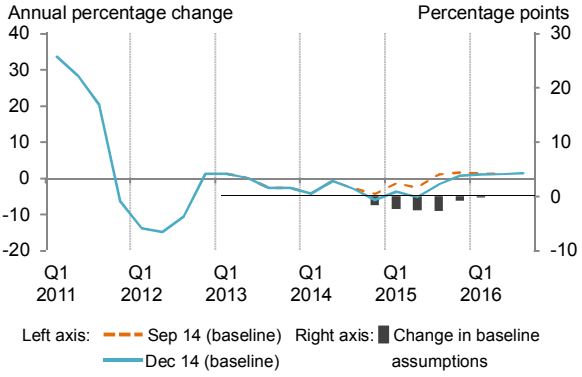
Chart 1.14 Assumptions on Dubai oil price



sentiment following the OPEC's decision to maintain production in order to preserve its market share and push down oil prices, thereby reducing the attractiveness for the US shale oil production. Moreover, the demand for oil has not fully returned to normal. Going forward, the MPC came to the conclusion that these factors are not transitory and, therefore, revised down the baseline assumption for Dubai crude oil price in 2015 to 73.0 U.S. dollars per barrel from 101.1.0 U.S. dollars per barrel. Nonetheless, the MPC expect that oil prices would rise steadily in the second half of the year. On the one hand, low prices currently should underpin global economic recovery, lifting the global oil demand. On the other hand, low prices will deter future investment to expand oil production capacity, pressuring oil supply. On balance, the forecast is that Dubai crude oil price will stabilize at around 80 U.S. dollars per barrel towards the end of the projection period.

Meanwhile, **estimates for other commodity prices are reduced from earlier and are expected to remain low (Chart 1.15)** in line with low food and raw material prices given global excess supplies. Metal price forecasts are also adjusted lower than previously projected as costs of productions fell along with oil prices.

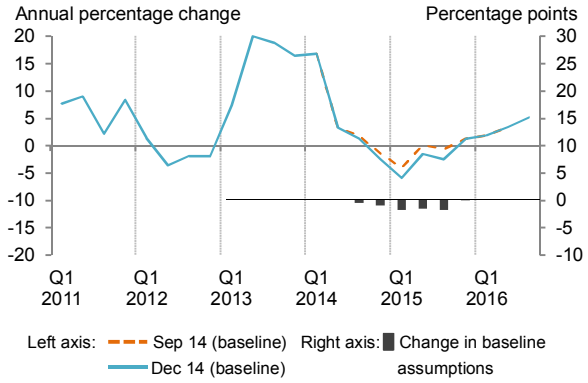
Chart 1.15 Assumptions on non-fuel commodity prices



Nonetheless, the government's policy to restructure domestic energy prices and the bath's weakness, in line with other regional currencies, limit the fall in domestic production costs, much smaller than the actual declines in Dubai oil and other commodity prices. In this regard, the MPC projected that retail domestic oil prices will be slightly lower than previous assumptions since the government is unlikely to allow diesel price to fall by the same extent in order to gradually reduce diesel subsidy. Additionally,

prices of LPG and NGV will also be raised as subsidies will be cut following the energy restructuring plan to allow prices to reflect actual costs and relieve some of the financial burden placed on the government budget.

Chart 1.16 Assumptions on fresh food prices



Domestic fresh food prices (Chart 1.16) should remain low until the end of 2015 and the forecast suggests lower prices than our previous projections. The changes centre on the decline in rice price, stemming from the government's rice destocking plans. Estimates for prices of other food products are similar to the last forecast with shrimp and pork prices softening after the shrimp and pig diseases gradually subsided.

Alternative Scenarios

The MPC are aware of the various scenarios where Thai economic growth could deviate from the baseline case. The MPC thus identified key risk scenario to the Thai economy and inflationary pressures, going forward.

Scenario 1: The global economy grew at a lower rate, particularly the Chinese and Asian economies which are Thailand's major trading partners. The scenario would affect production in export-oriented industries, thereby lowering employment, income and consumer confidence. As a result, households will be more cautious in their spending, delaying economic recovery and easing demand-pull inflationary pressures.

Scenario 2: Greater effectiveness in budget disbursements, leading to improving private sentiment and accelerated investment spending. This scenario will bolster employment and household income, leading to higher private spending and economic growth than the baseline assessment. Inflationary pressures then rise in the short-term

before the potential output could expand from higher investment.

Scenario 3: low global oil prices could lead to stronger global economic expansion and rapid recovery in domestic household and business spending. This scenario will see the export sector, the tourism sector, the transportation sector and domestic spending to grow faster than anticipated. Growth performance will register an improvement with greater demand-pull inflationary pressures from the baseline assessment.

1.3 Monetary policy decision

Monetary policy continues to be accommodative

For the past two meetings, the MPC voted to maintain the policy rate at 2.00 percent. The MPC deemed the current monetary policy stance appropriately accommodative and the economic recovery without leading to imbalances in the long-term.

At its meeting on November 5, 2014, the MPC were of the view that the global economy is likely to expand by slightly lower than forecast with varying rates of growth among regions. The U.S. economy will expand solidly while the recovery of the euro area and Japanese remain fragile with a probable risk of a slowdown. The outlook for the Chinese and Asian economies appears softer. Meanwhile, the forecast for the Thai economic growth is down compared to the last projection due to fading momentum in 2014 Q3 resulting from the feeble recovery in domestic demand, lower-than-expected government spending and

weak export performance. In the MPC's judgment the Thai economic activity will pick up steadily in 2015 from improving export performance against the backdrop of stronger global growth than in 2014. Moreover, public investment should provide a boost to the economy, encouraging the private sector to slowly follow suit. Risks to financial stability remain low. Inflation declined in line with falling energy and agricultural prices, coupled with subdued demand-pull pressures. The MPC thus deemed the current monetary policy stance to be sufficiently accommodative to foster economic recovery and ensure long-term financial stability. The Committee thus voted 6 to 1 to maintain the policy rate at 2.00 percent (one dissenter wishing to lower the policy rate by 0.25 percent). Moreover, the MPC expressed concerns over increasing risks to economic recovery stemming from the uncertain global economy and the pace of public investment. With one member holding the view that looser monetary policy would provide an additional thrust to the Thai economic recovery. The MPC continue, therefore, to closely monitor developments in the economy and to conduct monetary policy in such a way to sustain economic momentum and to promote financial stability.

At the meeting on December 17, 2014, the assessment from the MPC is in 2014the Thai economy expanded close to forecasts. Recovery had been gradual with domestic private spending as the main engine of growth. In 2015, the economy should gain traction but growth estimate is lowered compared to earlier projection due to stimulus from public spending falling short of anticipation, which in turn affects private investment as most businesses continue to wait for greater clarity on public investment. Furthermore, risks to recovery for merchandise exports could arise from

increasing global economic uncertainty. Meanwhile, the tourism sector should show signs of a rebound but its growth will remain sub-par. Headline inflation will dip from continuing falls in energy prices and should remain low for an extended period in line with global oil prices. In tandem, core inflation will move down from waning demand-pull pressures due to the slow economic recovery. Risks to financial stability remain low. The build-up of risks from the prolonged low interest environment does not yet pose a threat. Most members decided that the current monetary policy stance is sufficiently accommodative and should underpin a gradual recovery in 2015 and in line with our mandate to ensure long-term financial stability. Two members argued for further monetary policy easing to provide an additional thrust to the feeble economic recovery against the backdrop of increasing risks to global economic expansion and continued low inflation. The MPC thus voted 5 to 2 to maintain the policy rate at 2.00 percent (two dissenters opting for a 0.25 percent cut).

Nevertheless, all members concurred that monetary policy must continue to be accommodative to ensure that economic recovery gain traction while another key driving force is to ensure accelerated public spending remain on target.

1.4 Appendix:

Table 1.5 Forecast assumptions			
	2013	2014	2015
Dubai oil price (U.S. dollars per barrel)	105.4	97.1	70.0
Non-fuel commodity prices (%YoY)	-1.1	-3.6	-2.7
Fresh food prices (%YoY)	16.0	4.3	-2.3
Minimum wage in the Bangkok Metropolitan Region (baht per day)	300	300	300
Government consumption (%YoY)[1/]	6.4	6.8	3.1
Public investment (%YoY)[1/]	0.8	-4.1	13.2
Fed Funds rate (% at year-end)	0.13	0.13	0.75
Trading partners' economic growth (%YoY)[2/]	3.5	3.5	3.8
Regional currencies vis-à-vis the U.S. dollar (Index)[3/]	129.9	133.5	137.3

Note: [1/] Including spending on water management plans and infrastructure investment projects
[2/] Weighted by each country's share in Thailand's total exports
[3/] Appreciation against the US dollar indicated by a decrease

Table 1.6 GDP growth forecasts by research houses		
	2014	2015
FPO[1/]	1.4	4.1
Kasikorn Research	1.2	4.0
Standard Chartered	1.1	6.0
HSBC	1.1	4.5
Thanachart Securities	1.1	4.0
Capital Economics	1.1	3.5
Nomura	1.1	3.3
NESDB[2/]	1.0	4.0
Maybank Kim Eng	1.0	4.0
BOT	0.8	4.0
DBS Bank	0.8	3.8
Kiatnakin Bank	0.8	3.7
Tisco Securities	0.7	4.5
JP Morgan	0.5	4.2

Note: Compiled and published by Reuters on December 15, 2014, except:
[1/] Published on October 30, 2014
[2/] Published on November 17, 2014, with the release of GDP data for 2014 Q3
Presented in descending order of 2014's forecast

Table 1.7 Headline inflation forecasts by research houses		
	2014	2015
HSBC	2.1	2.4
Standard Chartered	2.1	2.3
FPO[1/]	2.1	2.2
NESDB[2/]	2.1	1.4-2.4
DBS Bank	2.0	2.6
Maybank Kim Eng	2.0	2.3
Thanachart Securities	2.0	1.9
Kiatnakin Bank	2.0	1.9
Tisco Securities	2.0	1.9
Nomura	2.0	1.3
Capital Economics	1.9	1.5
Kasikorn Research	1.9	1.5
BOT	1.9	1.2
JP Morgan	1.9	1.1

Note: Compiled and published by Reuters on December 15, 2014, except:
[1/] Published on October 30, 2014
[2/] Published on November 17, 2014, with the release of GDP data for 2014 Q3
Presented in descending order of 2014's forecast

Table 1.8 Probability distribution of GDP growth forecast								
Percent	2014	2015				2016		
	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3
> 12	0	0	0	0	0	0	0	1
10-12	0	0	0	1	0	1	2	2
8-10	0	5	3	5	3	5	6	7
6-8	1	26	14	17	10	13	14	15
4-6	15	42	31	28	21	23	23	22
2-4	54	22	33	28	28	26	25	23
0-2	28	4	16	15	23	19	18	17
(-2)-0	2	0	4	5	11	9	9	9
< (-2)	0	0	0	1	4	3	4	4

Table 1.9 Probability distribution of headline inflation forecast								
Percent	2014	2015				2016		
	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3
> 7	0	0	0	0	0	1	1	1
6-7	0	0	0	0	1	3	3	3
5-6	0	0	0	2	4	7	7	7
4-5	0	0	1	5	9	13	13	13
3-4	2	2	5	11	16	19	19	18
2-3	16	10	13	18	21	21	20	20
1-2	39	24	22	22	20	18	17	17
0-1	33	31	25	20	15	11	11	11
(-1)-0	9	22	20	13	8	6	5	6
< (-1)	1	11	14	10	5	3	3	3

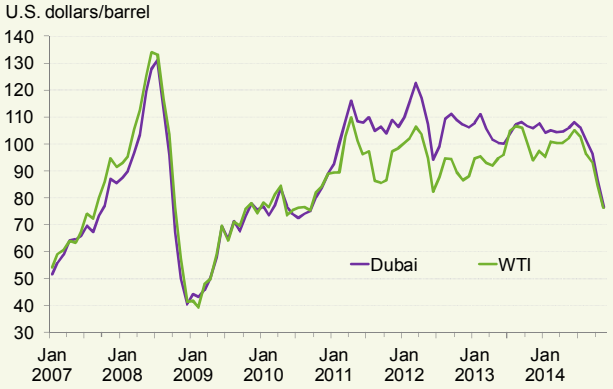
Table 1.10 Probability distribution of core inflation forecast								
Percent	2014	2015				2016		
	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3
3.5-4.0	0	0	0	0	0	0	0	1
3.0-3.5	0	0	0	1	1	1	2	3
2.5-3.0	1	3	2	3	4	5	5	7
2.0-2.5	16	13	7	9	11	11	12	13
1.5-2.0	46	31	19	18	19	18	18	18
1.0-1.5	31	33	29	25	24	23	22	21
0.5-1.0	5	16	25	23	21	20	19	18
0.0-0.5	0	4	13	14	12	13	12	12
< 0.0	0	0	4	8	7	9	9	9

Decline of global oil prices: implications for the Thai economy

The continual decline in global crude oil prices during the latter half of 2014 **(Chart 1)** which owed mainly to the supply increase clearly reflects a structural shift in the global oil market. The slowdown in demand for oil due to the gradually improving global economic outlook, meanwhile, plays a minor role.

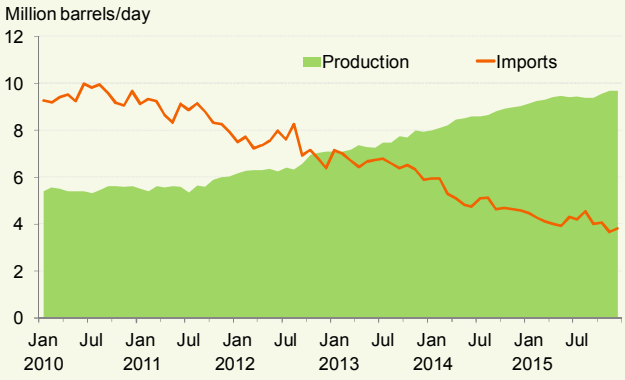
The aforementioned structural shift stems from the increase in supply from Non-OPEC countries, particularly the U.S. which succeeded in developing a suitable method to extract shale oil[1/], allowing high quantity shale oil production at lower costs. Accordingly, U.S. total oil supply in 2014 has reached the highest peak in 31 years **(Chart 2)**. This development has also led to a decline in the role of the OPEC in dictating the direction of global oil prices.

Chart 1 WTI and Dubai oil prices



Source: PLATTS

Chart 2 U.S. oil production and imports



Source: EIA, November 2014

In the new equilibrium of the global oil market, the outlook for oil prices would likely remain low for some time compared to the average price over the past 3-4 years. Apart from the structural consideration, there has also been a downward pressure which stemmed from the OPEC's change in strategy in which it no longer relies on previous practice of cutting output to maintain price. At its latest meeting on November 27, 2014, the OPEC decided to keep output at 30 million barrels per day to maintain market share, also hoping that low prices would reduce the incentive for shale oil production. Moreover, global oil demand would likely continue to slow down in the periods ahead given the early stage of global economic recovery, a decline in the U.S. oil intensity and Japan's return to relying more on nuclear power.

During the next 1-2 years, oil prices would gradually increase in line with the narrowing of the oil supply-demand gap, owing to an increase in demand following the global economic recovery and a reduction in new supplies due to low prices that would likely drive high-cost producers from the markets and reduced investment incentives. Nonetheless, a decline in the OPEC's role following the shift in supply structure coupled with the likelihood that the U.S. would annul the law on prohibition of crude oil exports which has been in place for more than 39 years, would be the key factors preventing prices from rising as much as in the past. The exception, of course, would be the case of global geopolitical risks which could affect important oil producing regions.

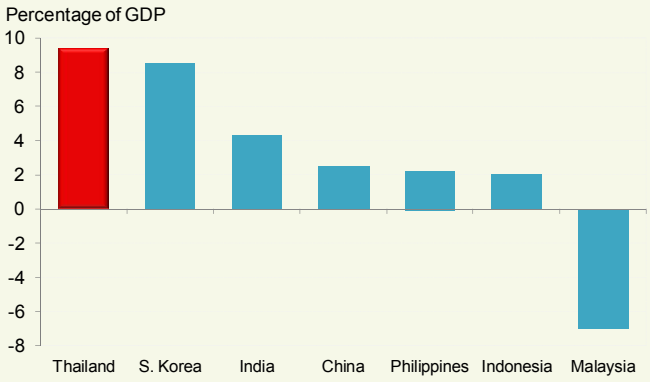
[1/] Shale oil production requires a technology called hydraulic fracturing combined with horizontal drilling.

Implications to the global economy

Overall, the decrease in oil prices would positively affect the global economy since net oil importing countries account for 75 percent in terms of the size of the global economy, higher than net oil exporting countries which would be worse off. The decrease in oil prices would affect the real economy through 2 channels. (1) The direct channel through trade where net oil importing countries such as the U.S., Japan and most Asian countries would benefit from lower oil import costs through higher terms of trade[2/], leading to improvement in trade balances. (2) The indirect channel through lower inflation and costs which would help support domestic spending through higher purchasing power. Most Asian countries with high proportion of oil-related goods and services in their Consumer Price Index (CPI) basket, such as Singapore and South Korea, would greatly benefit from lower oil prices. Meanwhile, a decline in costs of production would also help improve corporate profitability, leading to higher retained earnings which could then be reinvested.

The benefits that each country would receive would differ depending on their economic structures, for example, oil export and import structures, industrial structure, government policy and price sensitivity of businesses and households. By considering the oil export and import structures of regional countries, most EMEs are net oil importers. Thailand, in particular, would benefit from the decrease in oil prices the most, ranking highest in terms of net oil imports of 9.4 percent of GDP in 2013. **(Chart 3)** Meanwhile, Malaysia would lose out through the decline in export value in line with lower prices of energy export products. The decrease in global oil prices would benefit Thailand's current account and domestic demand as follows.

Chart 3 Net imports of crude oil, petroleum products and gas

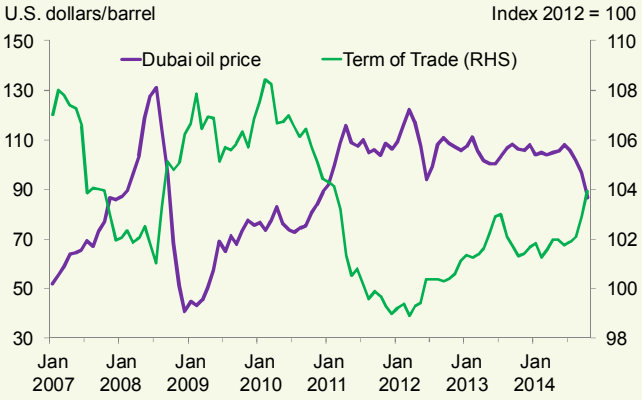


Source: IIF and Bank of Thailand (2013 data)

2/ A country's terms of trade reflects its gain from international trade, calculated as the proportion of export price (P_x) to import price (P_m) multiplied by 100. A number less than 100 reflects that prices of Thai exports are lower than prices of Thai imports, on average. To maintain the trade balance, Thailand must ensure that export volume is higher than import volume. An increase in terms of trade implies that Thailand gains from international trade.

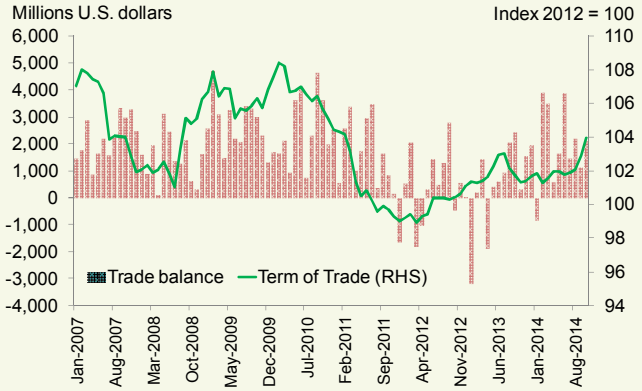
Impact on current account

Chart 4 Terms of trade and Dubai oil price



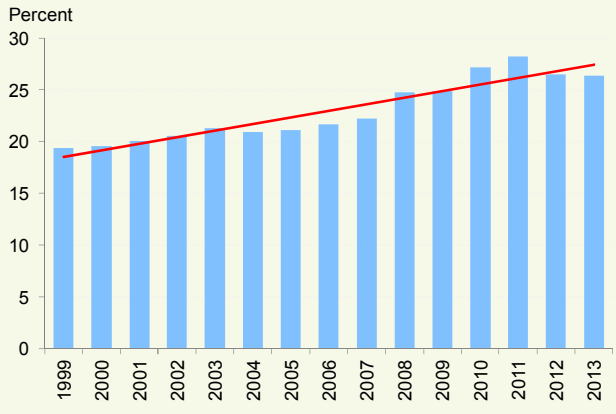
Source: Bank of Thailand

Chart 5 Thailand's trade and trade balance outlook



Source: Bank of Thailand

Chart 6 Proportion of tourists from oil exporting countries



Source: Department of Tourism

The decrease in oil prices would benefit Thailand's current account mainly through the trade balance. Thailand would directly benefit from higher terms of trade **(Charts 4 and 5)** since the proportion of its imports of crude oil and oil price sensitive products[3/] (25.9 percent of total imports) are higher than the proportion of its exports of the same product categories. (18.6 percent of total exports) Moreover, it is expected that the decrease in oil prices may not stimulate much more oil imports as the outlook for the domestic economy and exports continues to slow down. This observation is reflected by the import volume during the first 10 months of 2014 which has decreased to only 21.1 million barrels per month compared with the average import volume of 25.1 million barrels per month during 2007 – 2013. As a result, the higher terms of trade would likely be a key factor to support improvement in the trade balance. In this regard, Thailand's terms of trade in October 2014 stood at 103.7, the highest level since March 2011.

For the transfers and services account, the decrease in oil prices would likely lead to higher number of foreign tourists as their transportation expenditures decline. Nonetheless, in the short run, it is expected that the decrease in oil prices would not support recovery of the number of foreign tourists much due to the following reasons. (1) Economic conditions in countries where the major groups of tourists come from are slowing down. Moreover, recently, Thailand's tourism sector has become more dependent

[3/] For example, oil price sensitive products that Thailand imports include natural gas, coal, petroleum products and chemical products while oil price sensitive products that Thailand exports include petroleum products, chemical products, petro-chemical products, rubber and rubber products.

on tourists from oil exporting countries, for example, Russia, the Middle East and Malaysia. **(Chart 6)** (2) Tourist confidence on Thailand's political situation has not fully recovered. (3) A time lag is needed for air ticket prices to reduce as pricing depends chiefly on oil price stability. It would be difficult for the airlines to increase air ticket prices should oil prices rebound However, in the long run, a continual decrease in oil prices would benefit the transfers and services account given that the increase in the number of foreign tourists following the global economic recovery would surpass the number of Thai tourists travelling abroad.

Impact on domestic demand

Changes in oil prices would benefit private spending through reduction in energy expenditures and higher purchasing power. Consumption would gain from the outlook of lower inflation from both the direct effect of oil prices and electricity charges (accounting for 11.4 percent of the CPI basket) and the indirect effect of prices of other goods. The decrease in expenditures would help improve households' financial conditions, enabling them to spend more on other goods.

Meanwhile, the business sector would gain from lower costs of production. Analysis of the Input-Output Table reveals that the decrease in oil prices during August – December (36 percent for crude oil prices and 9 percent for retail oil prices) has resulted in a 1.4 percent decrease in costs of production, with 0.5 percent coming directly from the decrease in oil prices and 0.9 percent coming indirectly from the reduction in raw material and intermediate good costs which followed the decrease in oil prices. The decline in costs of production coupled with greater demand stemming from higher households' purchasing power would enhance businesses' liquidity and provide support to their financial conditions during the times of slow economic recovery. Businesses that would benefit from lower costs of production the most include high energy-intensity industries, for example, transportation, mining, metal and chemical. Moreover, results from the BOT macroeconometic model suggest that a 10 percent decrease in global oil price would reduce headline inflation by 0.4 percent and increase GDP by 0.2 percent.[4/]

Nonetheless, the decrease in domestic retail oil prices over the second half of the year has been quite small compared to that in global crude oil prices. Thus, the preliminary positive impact on consumption would not be as significant, in part due to existing energy taxes which serve as an automatic cushion in reducing the volatility of retail prices. For Thailand's case, the low pass-through in the early stage has also reflected the reimbursement of government subsidies via reduction of excise tax and maintenance of negative Oil Fund balance in previous periods as well as the restructuring of domestic energy prices to better reflect actual costs such as the gradual increase in retail prices of LPG and NGV. Although the energy pricing reform would diminish some positive effects of the decrease in crude oil prices on the economy in the short run, it is necessary to align energy price structure with actual costs in order to enhance country's energy efficiency and energy security in the long run.

[4/] Calculated from BOT macroeconometric model which measures the historical relationship between changes in global oil prices with overall economic activities and has not incorporated the effects of domestic energy price reform, constraints on consumption due to higher household debt, and tighter financial institutions' credit standards.

Recent Economic Developments

2. Recent Economic Developments

The global economic recovery lost some momentum. Although the U.S. economy continued to pick up steadily due to improving fundamentals, recovery in the euro area and Japan remained fragile from lingering structural problems. Meanwhile, indicators from the Asian and Chinese economies signaled a slower expansion.

The Thai economic recovery turned out weaker than expected following a weak momentum in the third quarter, stemming from subdued domestic demand. The public sector continued to be the main growth driver, albeit to a lesser extent. Meanwhile, exports recovered slowly. The supply side, especially in the tourism sector, showed some improvement though at a slower pace than anticipated.

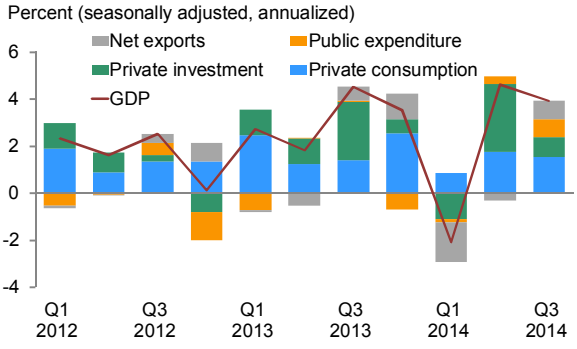
2.1 The global economy

The global economy continued to recover, led by the U.S.. The euro area and Japanese economies remained weak, while the Asian and Chinese economies likely slowed down.

The U.S. economy expanded solidly on the back of continued improvement in its fundamentals.

In 2014 Q3, the U.S. economy grew by 3.9 percent, (qoqsaar, second estimate) down from 4.6 percent in the previous quarter, due to strong private consumption and investment. Meanwhile, the surge in public spending in this quarter was expected to be temporary. **(Chart 2.1)**

Chart 2.1 Contribution to the U.S.' GDP growth (change from the previous quarter)



Source: Bureau of Economic Analysis

The US economic activities for 2014 Q4 should show continuing expansion as reflected by the readings of key leading indicators in October and November, for example, the manufacturing and services Purchasing Manager's Indices (PMI), retail sales, and employment. In particular, continued

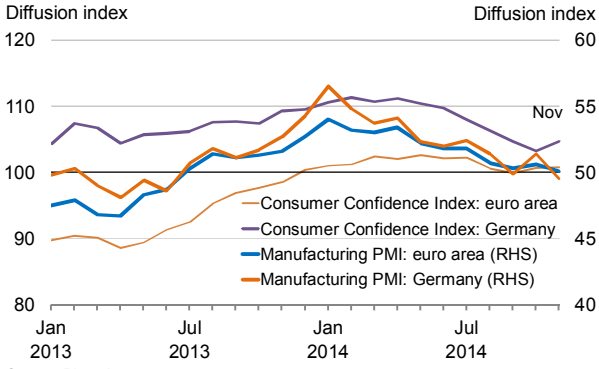
improvement in the labor market led the FOMC to announce the termination of its purchases of long-term government bonds and Agency Mortgage-Backed Securities in its October meeting.[1/]

The euro area economies recovered gradually in 2014 Q3, supported by domestic consumption and exports. However, most leading indicators signaled a slowdown in economic activities going forward.

In 2014 Q3, the euro area economies showed a slight expansion of 0.2 percent (qoqsa), mainly driven by growth in private consumption and exports. In particular, Spanish private consumption and exports saw some improvement as its labor market reforms brought down the unit labor cost significantly. By contrast, the Italian economy contracted for two consecutive quarters, owing to falling investment and subdued consumption.

In 2014 Q4, the euro area economies showed signs of slowdown, as reflected by key confidence indicators for the first two months of the quarter. The Consumer Confidence Index and the European Commission Sentiment Index edged down from the previous quarter. Likewise, the Composite Output PMI slowed down **(Chart 2.2)**, while the reading of Germany's manufacturing PMI signaled a contraction for the first time in 17 months. Furthermore, Germany's new foreign orders weakened in October, owing to softening economic prospects, both within and outside the euro area, as well as the fallouts from the sanction on Russia.

Chart 2.2 Confidence in the euro area and German economies



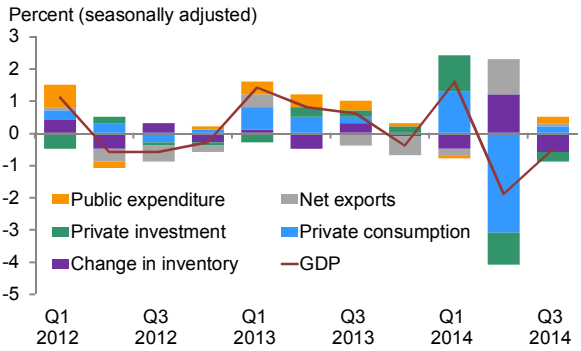
Source: Bloomberg

[1/] In the meetings on October 28-29, 2014, the FOMC decided to (1) hold the fed funds rate at 0-0.25 percent per annum and (2) end the asset purchases (long-term government bonds and Agency Mortgage-Backed Securities)

In 2014 Q3, the Japanese economy continued to contract, mainly due to a fall in private investment and inventory rundown.

In 2014 Q3, the Japanese economy contracted by 0.5 percent (qoqsa) **(Chart 2.3)** due to a continuous fall in private investment and a rundown of inventories. At the same time, private consumption remained weak after the introduction of the consumption tax hike in the second quarter. Public spending and net foreign demand saw a gradual improvement, with exports picking up in the third quarter while imports edging up slowly, indicating that domestic demand improved somewhat.

Chart 2.3 Contribution to Japan's GDP growth
(change from the previous quarter)



Source: Cabinet Office of Japan

In 2014 Q4, the Japanese economy likely resumed expansion, from a gradual pickup in consumption associated with pay rises and winter bonus payments. The manufacturing sector expanded in line with the recovery in domestic demand as reflected by a higher reading of its Manufacturing PMI. Meanwhile, the overall external sector helped drive economic growth, as exports started to pick up in line with a recovery in trading partner countries, particularly the U.S. and the U.K. At the same time, imports benefited from a significant decline in global oil prices.

In 2014 Q3, the Asian economies (excluding Japan) expanded at a similar pace to the previous quarter. Domestic demand softened somewhat, while exports grew mainly contributed by a strong recovery of the U.S. economy.

In 2014 Q3, the Chinese economy grew by 7.3 percent (yoy), down from 7.5 percent in the previous quarter due to a slowdown in investment and consumption. Meanwhile, net exports improved as exports benefitted from the global economic recovery while imports declined in line with

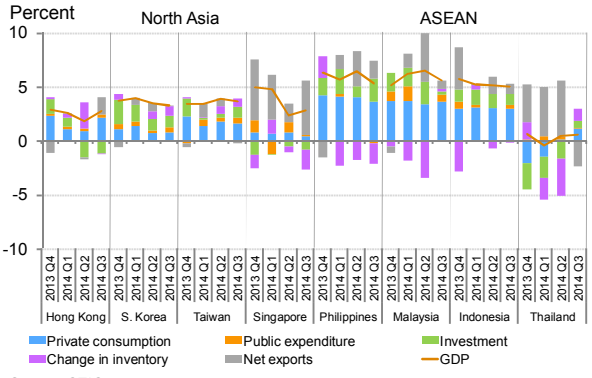
weakening domestic demand. Production activities fell, mainly in the manufacturing and the service sectors. On the other hand, agricultural output accelerated, in part as a result of the government's targeted measures, implemented during the first half of the year, which focused on supporting the agricultural sector and SMEs.

The Chinese economy in 2014 Q4 likely slowed down in line with falling investment in the manufacturing sector. Moreover, spare capacity in certain industries, such as metal, glass and cement, indicated no immediate need for additional investment. Corporate profits also continued to dip, owing to a drop in sales which resulted from softening consumer spending and high interest payment. Consumption should register growth with a similar pace to the previous quarter, supported by strong labor market. Meanwhile, exports continued to expand, due to a solid recovery in the U.S. and the launch of new electronic goods during year-end.

On November 21, 2014, the People's Bank of China (PBOC) announced the decision to cut the policy interest rates, including the benchmark 1-year lending rate by 0.25 percent to 2.75 percent and the benchmark 1-year deposit rate by 0.4 percent to 5.6 percent, in order to lower funding costs for businesses.

In 2014 Q3, the Asian economies (excluding China) expanded at a similar pace to the previous quarter **(Chart 2.4)** from a steady pickup in consumption and a rise in exports from most countries in Asia as the global economic recovery gained momentum, while imports of capital goods slowed down. Meanwhile, private investment continued to ease, partly as financial institutions became more cautious in their lending practices,

Chart 2.4 Contribution to Asia's GDP growth
(change from the previous quarter)



Source: CEIC

especially for loans to the real estate sector which expanded markedly in previous periods. Inflation in 2014 Q3 edged up somewhat, due to higher food prices and a reduction in subsidies, but remained within the target range. During 2014 Q3, most central banks maintained the policy rates at a level supportive of economic growth.

In 2014 Q4, the latest readings of the leading indicators suggested that the Asian economies would expand at a similar pace to the previous quarter. Domestic demand remained stable. Although consumer spending was boosted by declining oil prices, private investment likely softened, reflected by slower growth of corporate credits in the recent periods. Exports continued to grow at roughly the same rate as the previous quarter, with the U.S. economic recovery helping to offset weakening demand from the Chinese and the euro area economies.

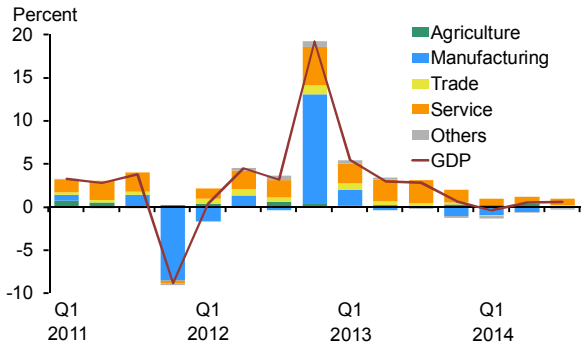
2.2 The domestic economy

The Thai economy recovered at a pace slower than previously projected, due to a much weaker momentum in 2014 Q3 associated with tepid growth of domestic demand, particularly private consumption. The public sector continued to be the main driver of growth but to a lesser extent than previously projected. Exports recovered slowly, while the supply side, especially in the tourism sector, showed some improvement though at a slower pace than anticipated.

Latest economic conditions

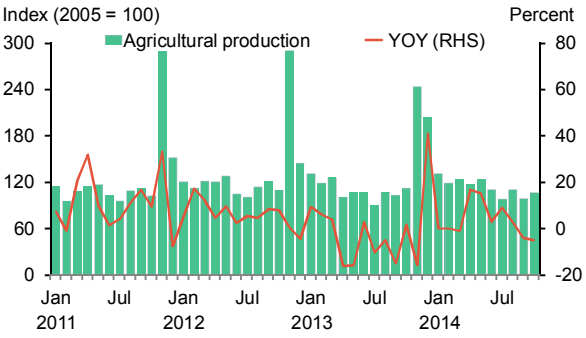
The Thai economic recovery was softer than previously projected. The overall production

Chart 2.5 Contribution to GDP growth
(change from the same period the previous year)



Source: Office of the National Economic and Social Development Board

Chart 2.6 Agricultural production



Sources: Office of Agricultural Economics and Bank of Thailand

activities saw a gradual improvement thanks to the economic recovery. In 2014 Q3, the Thai economy expanded by a mere 0.6 percent from the same period last year **(Chart 2.5)**, due to strong growth in the service sector, particularly in the transportation and telecommunications sectors. Other tourism-related service sectors improved slowly, owing to a lower-than-expected increase in the number of tourists. Meanwhile, manufacturing production increased gradually in line with the economic recovery.

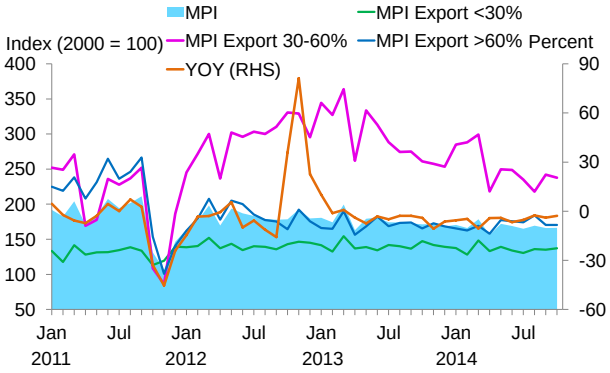
Agricultural production showed a sign of expansion, after contracting in September and October 2014, due to an increase in rice production. However, overall agricultural prices continued to trend downwards, mainly driven by weakening rubber and rice prices following a decrease in foreign demand, low crude oil prices, and inventory rundown from the government's rice scheme. As a result, farm incomes continued to contract and weigh on private consumption recovery. In 2014 Q3, agricultural production expanded by 1.7 percent from the same period last year **(Chart 2.6)**, as vegetable and fruit production improved with favorable weather conditions, while livestock production also rose in line with a pickup in foreign demand. However, rice output contracted as the harvest season was pushed back due to inadequate water supply as a result of this year's late monsoon season. Nonetheless, rice output is anticipated to increase again in the fourth quarter. At the same time, rubber production decreased from the same period last year as rubber farmers slowed tapping due to a significant decline in prices following a plunge in global demand.

The **manufacturing sector** recovered steadily though at a slower pace than previously

projected, supported by the recovery in domestic and foreign demand and the fact that some firms had already run down inventories in the previous periods. Looking ahead, the overall manufacturing production should recover steadily, in line with firmer recovery in domestic demand. In 2014 Q3, manufacturing production contracted by 0.7 percent from the same period last year **(Chart 2.7),** consistent with the prevailing low rate of capital utilization **(Chart 2.8).** On the whole, however, manufacturing production was expected to improve in line with a brighter outlook in the export-oriented sector. For instance, electronic circuit production continued to grow in line with stronger foreign demand for production inputs. Hard Disk Drive (HDD) production picked up gradually, due to the recent rundown of inventories and a slow recovery in global demand. However, domestic-oriented manufacturing contracted during the closure of major petroleum refineries for repairs and upgrades at the beginning and at the end of the third quarter. Beer production also decreased as firms chose to run down inventories which had been accumulated in the previous quarter. Meanwhile, domestic and export-oriented production contracted due to a slower-than-expected recovery in automobile purchases, coupled with a drop in demand from the Middle East and Indonesia.

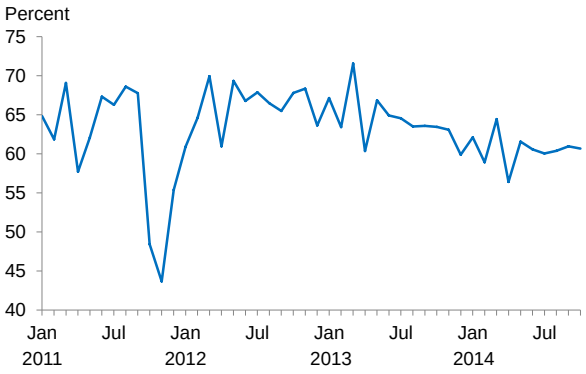
Activities in the **trade sector** expanded modestly due to a slower-than-anticipated recovery in consumption of durables as consumers' purchasing power was weighed down by high indebtedness and subdued agricultural prices. As a result, automobile sales should remain weak for some time. However, the improvement in household spending and confidence helped sustain the momentum, compared to a 0.6 percent growth in

Chart 2.7 Manufacturing Production Index



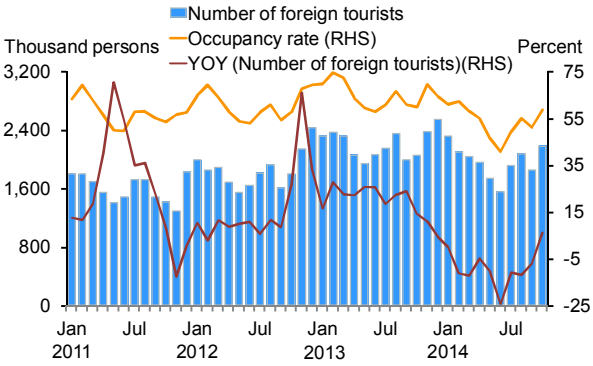
Source: Office of Industrial Economics, Ministry of Industry

Chart 2.8 Capacity utilization rate



Source: Office of Industrial Economics, Ministry of Industry

Chart 2.9 Number of foreign tourists and hotel occupancy rate



Source: Department of Tourism and Bank of Thailand

the trade sector in 2014 Q3, mainly due to an expansion in wholesale trade in fuel and agricultural raw materials, along with retail trade in food, garment and department stores.

The **service sector** recovered, albeit weaker than previously projected. In 2014 Q3, the service sector expanded by 1.9 percent from the same period last year. The expansion was particularly evident in the transportation and telecommunication sectors. The recovery in the service sector was further supported by rising consumer confidence owing to greater clarity on government policies. Importantly, the tourism sector was expected to improve thanks to a number of factors such as the gradually improving tourist sentiment, the introduction of travel stimulus measures such as the visa fee waiver for Chinese tourists and the temporary allowance of Malaysian tour buses to operate beyond the Songkhla province, as well as lower costs of international travels from declining global oil prices. In this regard, the number of tourists in October grew by 6.1 percent from the same period last year **(Chart 2.9)** after contracting every month since January 2014. Nonetheless, the recovery of travel-related service sectors continued to be slow as a number of countries maintained their travel advisories on account of the martial law in Thailand, while tourists from Europe and Russia, accounting for a quarter of the total tourists, continued to decrease due to the economic slowdown in Europe

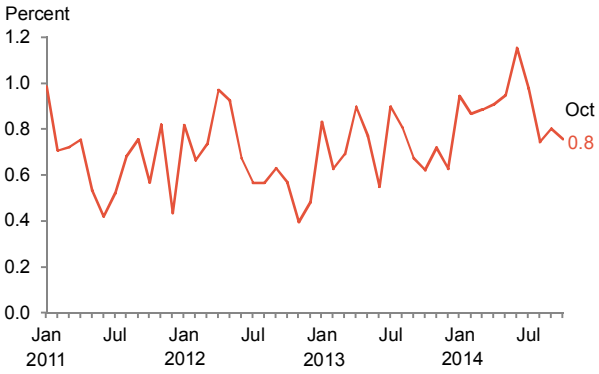
In 2014 Q3, the **construction sector** showed a gradual improvement, after contracting by 2.7 percent from the same period last year, in line with a brighter outlook in private investment, a recovery of the real estate sector, and continuing network expansion of major retail businesses.

Moreover, the acceleration in public investment in October indicated a pickup in construction activities undertaken by the public sector.

Activities in the real estate sector returned to a modest expansion and looked set to recover going forward. This development was consistent with elevated household debt, a cautious lending to the real estate sector, and the developers' adoption of a wait-and-see approach in order to assess the continuity of economic recovery before launching new projects. In 2014 Q3, the real estate sector expanded by 0.2 percent from the same period last year from both the demand and supply sides.

Nevertheless, employment in both the manufacturing and the service sectors continued to improve, particularly in the hotel and restaurant and transportation sectors. Meanwhile, low agricultural prices discouraged farmers from increasing plantation areas, while inducing labor relocation away from the agricultural sector. The movement helped alleviate the problem of labor shortage in non-farm sectors that had become very severe in previous periods. Overall, latest data in October revealed that Thailand's unemployment rate remained low at 0.8 percent. **(Chart 2.10)**

Chart 2.10 Unemployment rate



Source: National Statistics Office

A pickup in demand was slower than expected due to soft domestic spending. This gradual improvement was seen in private consumption, public spending, and the exports of goods and services which showed a weaker expansion than previously projected. **(Table 2.1)**

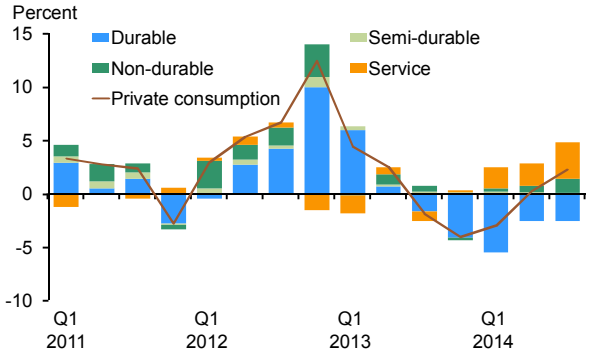
Table 2.1 GDP growth rate

Change from the same period in the previous year (percent)	2013			2014		
	Year	Q3	Q4	Q1	Q2	Q3
GDP	**2.9**	**2.7**	**0.6**	**-0.5**	**0.4**	**0.6**
Domestic demand[1/]	0.2	-1.4	-5.5	-3.9	-1.5	2.1
Private consumption	0.3	-1.2	-4.1	-3.0	0.2	2.2
Private investment	-2.8	-3.1	-13.2	-7.4	-7.0	3.9
Government consumption	4.9	7.3	0.8	4.2	2.1	0.4
Pubic investment	1.3	-16.2	-4.7	-16.6	-6.7	-0.8
Exports of goods and services	4.2	3.8	2.0	-0.5	-0.6	-4.0
Goods	0.2	-1.4	0.2	0.8	1.5	-1.4
Services	19.7	25.2	8.1	-4.4	-7.8	-12.4
Imports of goods and services	2.3	0.8	-3.5	-8.6	-9.0	-1.1
Goods	1.8	-0.5	-5.3	-12.0	-10.8	-1.6
Services	5.2	8.1	6.3	10.4	1.2	1.3

Note: [1/] Domestic demand excluding changes in stocks

Source: National Economic and Social Development Board

Chart 2.11 Contribution to private consumption
(change from the same period the previous year)



Source: National Economic and Social Development Board

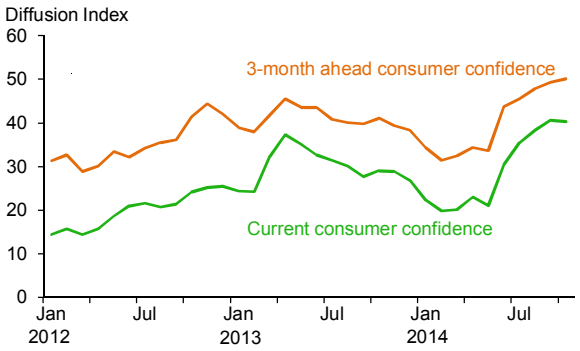
Private consumption saw a gradual expansion, albeit weaker than previously projected. In 2014 Q3, private consumption grew by 2.2 percent from the same period last year **(Chart 2.11)** and continued to pick up slowly until October thanks to rising consumer confidence, **(Chart 2.12)**, high employment, declining oil prices and government support measures such as the maintenance of LPG price which helped improve purchasing power and encouraged households to increase spending on non-durables and services. At the same time, spending on durables was deemed to have bottomed out **(Chart 2.13)**, though still lower from the same period last year and recovered only slowly due to (1) elevated household debt; (2) financial institutions' ongoing caution towards household loans; and (3) a slump in agricultural prices. Meanwhile, measures to support farm incomes, launched in the middle of the fourth quarter, progressed only slowly. However,

spending on durables, particularly automobiles, should improve more solidly in 2016, as automobile loans gradually matured, given a typical loan terms of 4-5 years.

Private investment expanded but more modestly than previously projected, reflected by 2014 Q3 private investment which returned to expand at 3.9 percent from the same period last year after contracting for four consecutive quarters. **(Chart 2.14)** Momentum of private investment was sustained until October, owing to an expansion of the manufacturing sector's machinery and equipment investment and the acceleration of telecommunications investment, for example, mobile communication network expansion and high-speed internet. The improvement in investment was in part due to better business sentiment as the BOI continued to approve initiatives regarding investment promotion and permits for factory operation (Ror.Ngor.4). Investment in the construction sector still contracted from the same period last year but an improvement was noted in the real estate sector, particularly the construction of condominiums along the BTS lines. Major retail businesses also began to expand their regional networks.

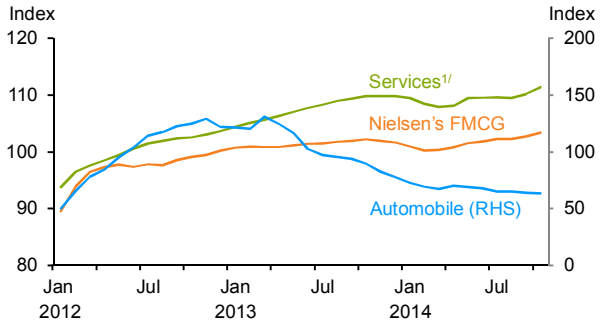
During the same period, merchandise exports recovered gradually. In 2014 Q3, the volume of exports contracted by 1.4 percent **(Table 2.1)** mainly due to contraction in automobile exports for which there was a decrease in demand from major trading partners, a drop in petroleum exports in line with the temporary closure of refineries for repairs and upgrades, and lower gold exports due to last year's high base effect. Meanwhile, exports of machinery and equipment, petrochemical products, electronic products and agricultural products continued to expand strongly.

Chart 2.12 Consumer confidence



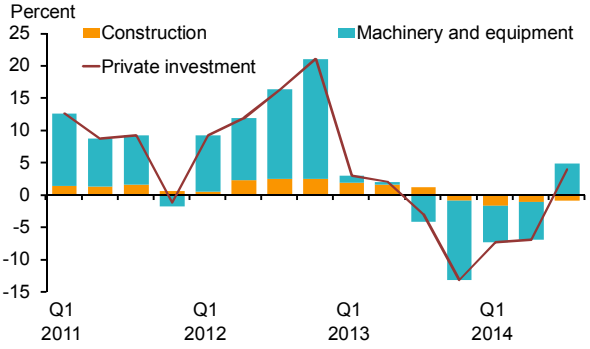
Source: Ministry of Commerce

Chart 2.13 Private consumption indicators
(seasonally adjusted, 3-month moving average) (2012=100)



Notes: 1/includes VAT for the hotel and restaurant sector and sales of transportation services
Sources: Nielsen Co. Ltd., Federation of Thai Industries, Revenue Department and calculation by Bank of Thailand

Chart 2.14 Contribution to growth of private investment
(change from the same period the previous year)



Source: National Economic and Social Development Board

Chart 2.15 Contribution to growth of exports of goods and services (change from the same period the previous year)



Source: National Economic and Social Development Board

Chart 2.16 Contribution to growth of imports of goods and services (change from the same period the previous year)



Source: National Economic and Social Development Board

Nonetheless, total exports began to rise in the last month of the third quarter and continued into October, owing to temporarily accelerated exports to the euro area economies before the expiration of the GSP in 2015, along with higher demand from the U.S. and the Asian economies.

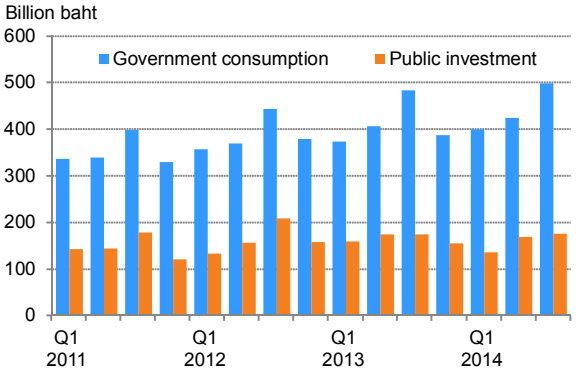
Exports of services were well below the previous projections. In 2014 Q3, exports of services contracted by 12.4 percent **(Table 2.1 and Chart 2.15)** as a number of countries continued to maintain their travel advisories for Thailand, and hence denting the tourist confidence. Moreover, a slowdown in the euro area and Russian economies led to a decline in tourists from these countries. By contrast, the number of Asian tourists, a major contributor to Thailand's tourism industry, continued to rebound, particularly Chinese tourists who adjusted travel plans fairly quickly in response to the improved political situation in Thailand. In October, the tourism sector recovered notably from the return of Chinese and Malaysian tourists, with the latter owing to the government's allowance for Malaysian tour buses to operate beyond the Songkhla province until the end of the month.

The gradual recovery of domestic spending, particularly private consumption and investment, along with exports, led to some **improvement in imports (Chart 2.16)**, including raw materials, intermediate goods, capital goods and consumption goods. Overall imports thus contracted by less compared to the same period last year.

Public expenditures were pushed back from the original schedule, resulting in weaker economic momentum. In 2014 Q3, public expenditures stabilized from the same period last year **(Chart 2.17)** due to salary and wage rises. In

the meantime, capital expenditures fell by more than expected due to a delay in the procurement process, which stemmed from the political crisis earlier, and the reviewing and auditing process in order to enhance the transparency of public spending. Furthermore, the government's short-term stimulus measures, introduced in the fourth quarter with an aim to accelerate capital budget disbursements, saw limited progress as the government agencies faced disbursement restrictions. This, therefore, resulted in less funds being injected into the economy than previously expected. Nonetheless, it was assessed that the impact of these short-term stimulus measures would be more noticeable from the beginning of next year.

Chart 2.17 Public expenditure



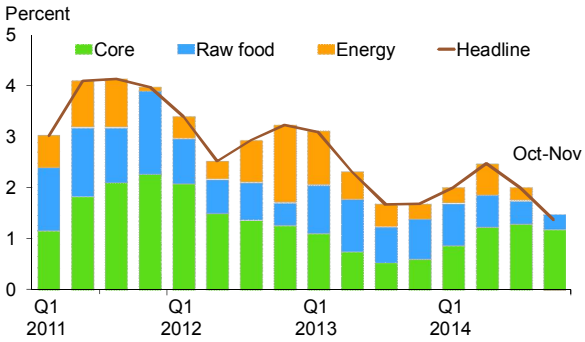
Source: National Economic and Social Development Board

2.3 Costs and Prices

Inflation

Headline inflation over the first two months of 2014 Q4 averaged at 1.37 percent, edging down from the last quarter as prices of energy and raw food declined. The pass-through of LPG price to prepared food wound down, causing core inflation to ease. **(Chart 2.18)**

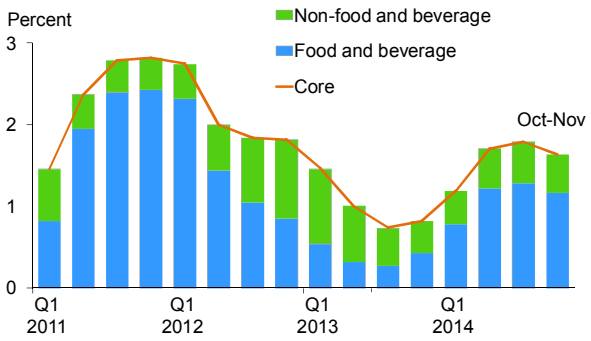
Chart 2.18 Contribution to headline inflation



Source: Trade and Economic Index Bureau, Ministry of Commerce and calculations by Bank of Thailand

Prices of energy decelerated from the previous quarter as domestic retail oil prices declined in line with a downward trend in global oil prices. Such trend was caused by an increase in oil supply, as a result of technological advancement in shale oil production in the U.S., and the OPEC's maintenance of production

Chart 2.19 Contribution to core inflation



Source: Trade and Economic Index Bureau, Ministry of Commerce, and calculations by Bank of Thailand

quotas to preserve its market share.[2/] Moreover, raw food prices continued to soften from the previous quarter, in line with a fall in the prices of meat and eggs resulting from increased production.

Core inflation over the first two months of 2014 Q4 averaged at 1.64 percent **(Chart 2.19)**, in line with the previous projections. The reading indicated a slight deceleration compared to the previous quarter, due to falling prices of food and beverage after the pass-through of previous LPG price hikes to prepared food prices, from September 2013 to July 2014, had wound down. Meanwhile, prices of non-food and beverage items in the core Consumer Price Index basket remained stable, in line with lower costs of production and subdued domestic demand. **(Table 2.2)**

Table 2.2 Quarterly inflation

Unit: Percent	2013	2013		2014			
		Q3	Q4	Q1	Q2	Q3	Oct-Nov
Percentage change from previous year (%Δyoy)							
- Headline Consumer Price Index	2.18	1.67	1.68	2.00	2.47	2.00	1.37
• Core Consumer Price Index	1.00	0.74	0.82	1.19	1.71	1.79	1.64
• Raw food	5.54	4.48	5.04	5.34	3.92	2.78	1.89
• Energy	4.79	3.67	2.35	2.55	5.13	2.20	-0.94
Percentage change from previous quarter (%Δqoq)							
- Headline Consumer Price Index	-	0.8	5.8	1.4	3.0	0.4	-
• Core Consumer Price Index	-	0.3	0.4	0.8	0.9	-0.1	-
• Raw food	-	1.7	0.0	2.3	1.0	-1.1	-
• Energy	-	0.2	0.3	0.5	0.7	0.2	-
Percentage change from previous quarter (%Δqoq_sa)							
- Headline Consumer Price Index	-	0.15	0.30	0.17	0.16	-0.06	-
• Core Consumer Price Index	-	0.09	0.18	0.16	0.14	0.09	-
• Raw food	-	-0.04	0.67	0.67	-0.20	-0.22	-
• Energy	-	0.86	0.61	-0.65	0.85	-0.65	-

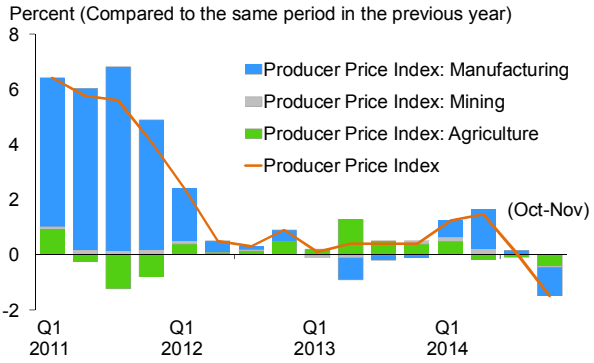
Source: Trade and Economic Index Bureau, Ministry of Commerce, and seasonal adjusted quarter-on-quarter percentage change calculations by Bank of Thailand

[2/] On November 27, 2014, the OPEC decided to maintain crude oil production quota at 30 million barrels per day.

Production cost conditions

The overall production costs remained low, as reflected in the drop in the Producer Price Index by 1.5 percent (yoy) during the first two months of 2014 Q4 **(Chart 2.20)**. This was mainly due to a continued fall in the prices of manufacturing products in line with global commodity prices, particularly oil. In this regard, the decline in oil prices stemmed from a jump in supply thanks to technological advancement in the shale oil production in the U.S., coupled with the recent structural shifts in the global oil market. The lower costs of production, however, did not raise concerns over deflation as it had not resulted in a broad-based reduction in the prices of goods and services.

Chart 2.20 Contribution to Producer Price Index



Source: Trade and Economic Index Bureau, Ministry of Commerce and calculations by Bank of Thailand

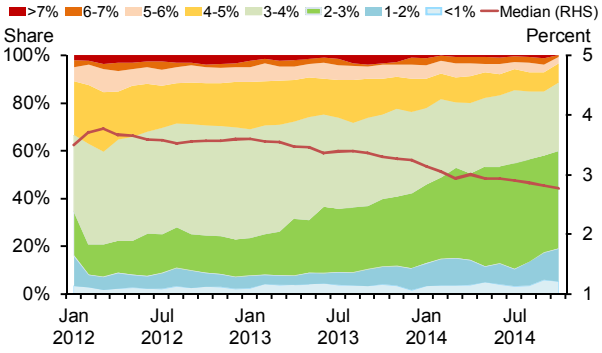
Inflationary pressures in the periods ahead

Inflationary pressures over the next two quarters are likely to remain benign in line with a downward trend in global commodity prices, especially crude oil. While cost pressures could edge up somewhat following a gradual phase-out of NGV and LPG subsidies, the effect on inflation is expected to be minimal given the absence of demand pressures. Meanwhile, inflation expectations continued to fall and it is expected that the government will soon introduce some price administration measures.

(1) Cost pressures are projected to be low in line with global crude oil and commodity prices. The additional energy price restructuring measures announced on December 3, 2014[3/] and future

[3/] Benzene 95, gasohol 95 and 91, E20 and diesel oil prices decreased by 0.4–0.5 baht per liter while NGV price and LPG prices for both the transportation and household sectors increased by 1.0 and 1.03 baht per kilogram, respectively.

Chart 2.21 12-month-ahead inflation expectation
(October 2014)



Source: Bank of Thailand's Business Sentiment Survey

restructuring measures, particularly the gradual phase-out of NGV and LPG price subsidies (the latter for the transportation and household sectors), should contribute to rising production costs. Nonetheless, the effect is likely to be marginal, as the prevailing downward trend in oil prices should help offset some impact of the energy price restructuring. As a result, cost pressures should remain low in the near future.

(2) Demand pressures remain modest, in line with the gradual economic recovery.

(3) Inflation expectation continues to show a downward trend, reflected by the lower reading of businesses' 12-month-ahead inflation expectation. The figure stood at 2.76 percent in October 2014, compared with 2.81 percent in the previous month. **(Chart 2.21)**

Monetary and Financial Stability

3. Monetary and Financial Stability

Thailand's overall economic and financial stability was well maintained. Money market interest rates remained stable in line with the policy interest rate and continued to accommodate economic recovery. While expansion of deposits and credits decelerated follwoing the economic slowdown, financial institutions' financial strength continued to be sound. Fragilities in non-financial institutions sector lessened in accordance with economic recovery trend. Corporate profitability improved slightly from the previous quarter and the real estate sector picked up gradually.

Looking ahead, the MPC assessed that salient risks needed to be monitored included (1) market perception towards the higher degree of monetary policy divergence and economic growth discrepencies between advanced economies namely the U.S., euro area, and Japanese economies, which could lead to EMEs capital flows volatility; and (2) the continuity of Thailand's economic recovery which would affect income and debt servicing ability of the private sector in the periods ahead.

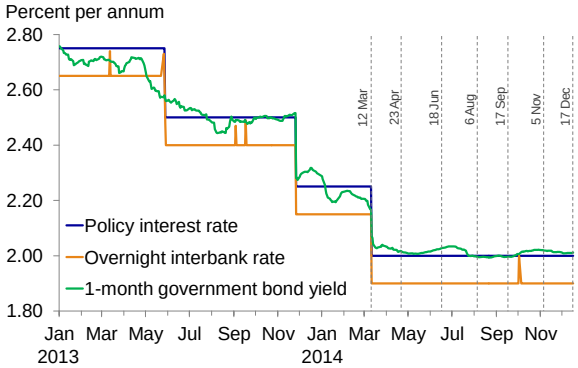
3.1 Financial markets

Money market interest rates remained stable in line with the policy interest rate. Short-term government bond yields remained quite stable, while medium- to long-term government bond yields decreased predominantly due to foreign and local investors' increasing concerns towards Thailand's and global economic recovery.

Money and bond markets

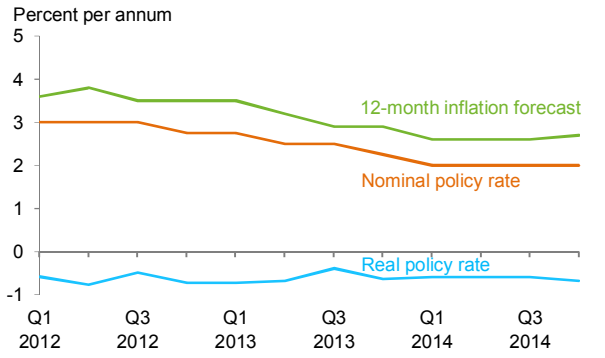
Short-term money market interest rates remained stable close to the policy interest rate in line with the MPC's decisions on November 5 and December 17, 2014, to hold the policy interest rate at 2.00 percent per annum. As of December, 17, 2014, the interbank lending rate and the 1-month government bond yield stood at 1.90 and 2.01 per

Chart 3.1 Money market short-term interest rates



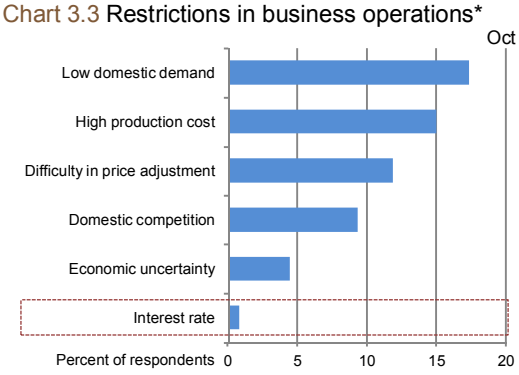
Sources: Bank of Thailand and the Thai Bond Market Association (ThaiBMA)

Chart 3.2 Real policy rate*



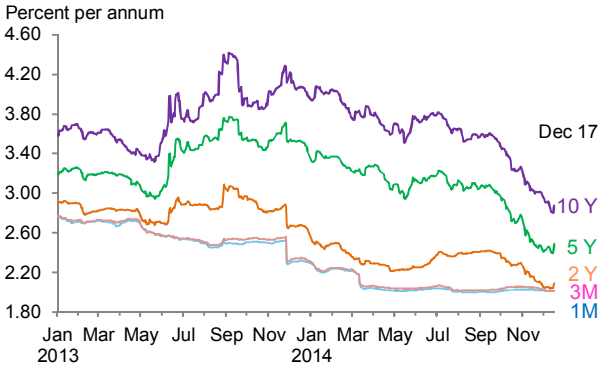
Note: *Real policy rate is calculated by subtracting the 12-month inflation consensus forecast
Sources: Bank of Thailand

Chart 3.3 Restrictions in business operations*



Note: *Rated as number 1 restriction in business operation
Source: Bank of Thailand's survey of business sentiment

Chart 3.4 Government bond yields



Sources: The Thai Bond Market Association (ThaiBMA)

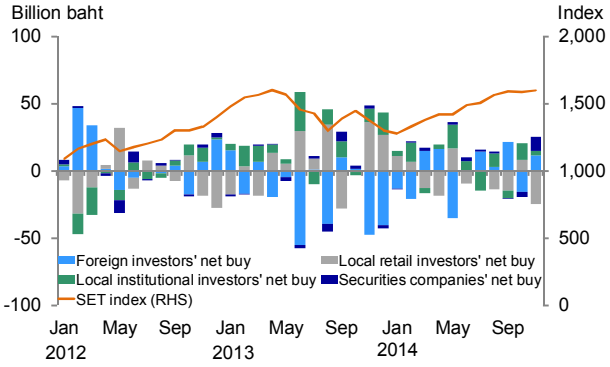
annum, respectively. **(Chart 3.1)** Overall, current monetary conditions continued to be accommodative enough to facilitate economic recovery as reflected by the negative real policy rate. **(Chart 3.2)** In addition, from the business sentiment survey, the policy interest rate was not a primary restriction to business operations as opposed to the top three factors, namely domestic demand, production cost and difficulty in price adjustment. **(Chart 3.3)**

Short-term government bond yields remained quite stable during October and November 2014. While overall medium- to long-term government bond yields decreased notably due to investors' increase in demand following the expectation of a flattening yields curve. This expectation was the result of concerns over Thailand's slow economic recovery, especially after the lower-than-expected 2014 Q3 GDP, coupled with a decreasing trend in inflation. In addition, during October 2014, supply side factors namely new auctions of government bonds, were lower than market expectations. In addition, a reduction in medium- to long-term government bond yields was in line with the U.S. government bond yields which decreased partly due to the market anticipation that the Fed would continue its accommodative policy stance for some periods following the weak global recovery prospect after disappointing advanced economies' data. As of December 17, 2014, Thailand's 10-year government bond yield stood at 2.87 per annum, decreasing by approximately 60 bps from the end of 2014 Q3. **(Chart 3.4)**

Equity market

From October to November 2014, the Stock Exchange of Thailand (SET) Index remained stable after a continuous upward trend since January 2014, owing to investors' confidence on greater political clarity. At the end of November, the SET Index rose slightly to 1,594 points. **(Chart 3.5)** Some periods of volatilities were noted due to investors' concern over the slower-than-expected global recovery. In addition, due to the weaker-than-expected recovery in the Thai economy, investors anticipated that performance for listed firms in the latter half of the year would be moderate.

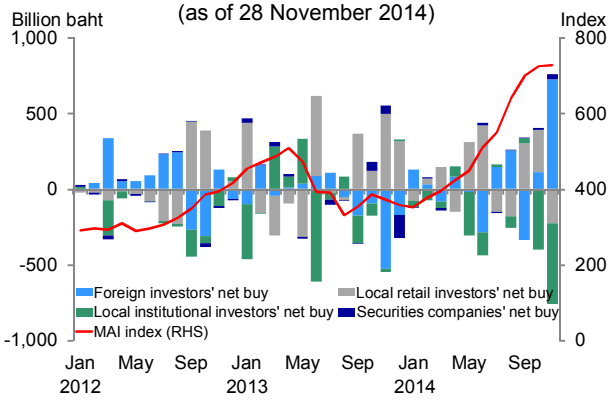
Chart 3.5 The Stock Exchange of Thailand index
(as of 28 November 2014)



Source: The Stock Exchange of Thailand

Salient risks that needed to be monitored included speculative signals in the Market for Alternative Investment (MAI). At the end of November 2014, the MAI index stood at 727 points, increasing significantly from 352 points at the beginning of the year 2014, with most activities coming from individual investors. **(Chart 3.6)** In addition, as of November 2014, the Price-Earnings Ratio (P/E) was at 66 times as compared to its 10-year average of 20 times, which reflected the overvaluation in the market. Nonetheless, the Securities and Exchange Commission Thailand (SEC) and the Stock Exchange of Thailand (SET) constantly monitored any mispriced securities and implemented necessary macroprudential measures from time to time.

Chart 3.6 The Market for Alternative Investment (MAI)
(as of 28 November 2014)

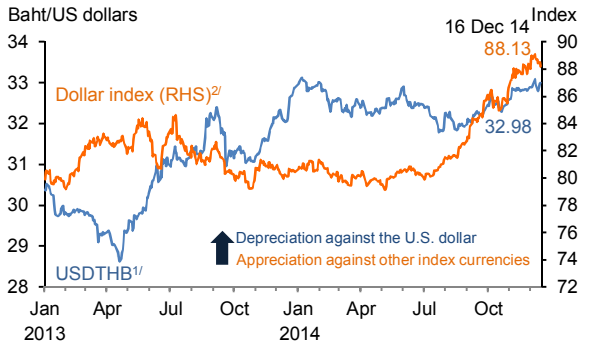


Source: The Stock Exchange of Thailand

Foreign exchange market

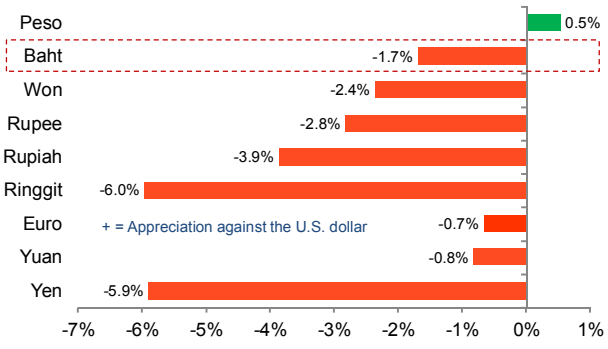
During 2014 Q4, an appreciation in the U.S. was the main cause for the Thai baht to depreciate against the U.S. dollar while the Nominal Effective Exchange Rate (NEER) and Real Effective Exchange Rate (REER) appreciated as the euro, the Japanese yen and regional currencies depreciated more than Thai baht.

Chart 3.7 Exchange rate and trade-weighted dollar index



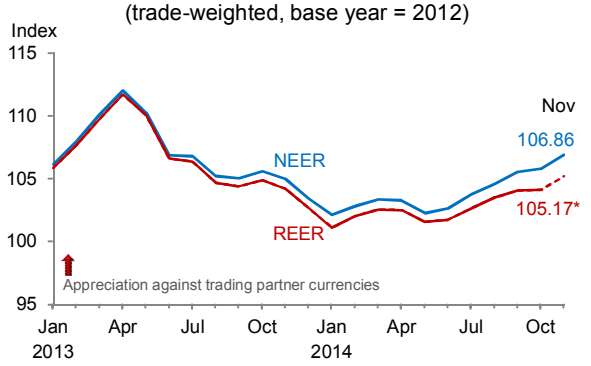
Sources: 1/ Bank of Thailand
2/ Bloomberg

Chart 3.8 Currency movements against the U.S. dollar



Note: As of December 16, 2014 as compared to the end of 2014 Q3
Source: Bank of Thailand and Reuters

Chart 3.9 NEER and REER
(trade-weighted, base year = 2012)



Note: *Preliminary data using NEER in November 2014 and inflation in October 2014
Source: Bank of Thailand

Overall, the Thai baht volatility remained moderate as compared to regional currencies.

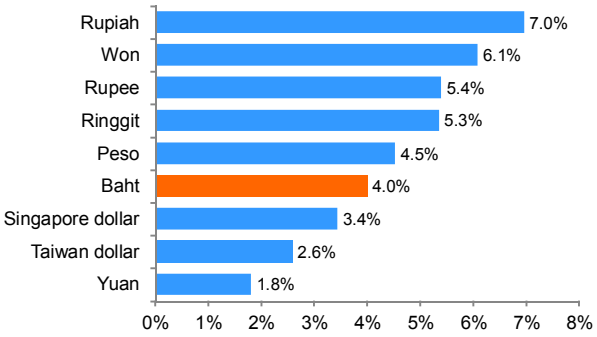
As of December 16, 2014, the Thai baht stood at 32.98 baht per U.S. dollar, depreciating by 1.7 percent from the end of last quarter **(Chart 3.7)** owing to (1) an appreciation in the U.S. dollar as reflected by the continuous increase of the Dollar Index following an improvement in the U.S. economy and the Fed's decision to discontinue QE3 at the end of October 2014. In addition, the market perceived increasing policy divergence for advanced economies namely the U.S., the euro area and Japan; and (2) investors' concern over a possible slower-than-expected recovery of the Thai economy after disappointing economic data and subsequent downward revisions in GDP forecasts.

An appreciation of the Thai baht against the euro, the Japan yen and the majority of regional currencies **(Chart 3.8)** resulted in an increase in the NEER. As of November 2014, the NEER stood at 106.86, appreciating by 1.3 percent from the previous quarter **(Chart 3.9)**. In this connection, the Japanese yen depreciated markedly following a slowdown in its economy which led to further easing of monetary policy. Likewise, recession in the euro area caused the euro to depreciate as the European Central Bank (ECB) eased monetary policy further through the purchase of government and private bonds, and stand ready to implement further easing measures if necessary. The Korean won depreciated following the Japanese yen because the authorities intended to maintain export competitiveness against Japan. Also, the Malaysian ringgit depreciated from the market's concern over lower future government revenue from oil exports, following a declining trend in global oil prices.

Similarly, the Russian ruble depreciated rapidly from concern over the country's fiscal balance which had oil and gas exports as major sources of income.

As of November 2014, preliminary data showed that the REER increased to 105.17, appreciating by 1.1 percent from the previous quarter. Overall, the Thai baht volatility remained moderate as compared to regional currencies. **(Chart 3.10)**

Chart 3.10 Average volatility
(Year to December 16, 2014)



Sources: Bank of Thailand and Reuters

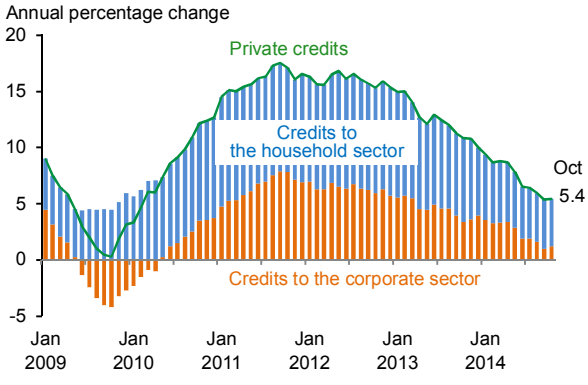
3.2 Financial institutions

During October – November 2014, deposit and loan rates of the four largest commercial banks stabilized from the end of 2014 Q3. In addition, private credits and deposits slightly improved following a gradual recovery of the Thai economy. In order to maintain market shares, banks increasingly competed for deposits as compare to the previous periods.

Interest rates, credits and deposits

Deposit rates of the four largest commercial banks[1/] at the end of November 2014 stabilized from the end of 2014 Q3. At the end of November, interest rates on the 12-month deposits of the four largest commercial banks recorded at 1.73 percent per annum. Nonetheless, many commercial banks and SFIs still competed for deposits by increasing the numbers of special deposit products and their interest rates in order to maintain market share. In the periods ahead, it was expected that market competition for deposits

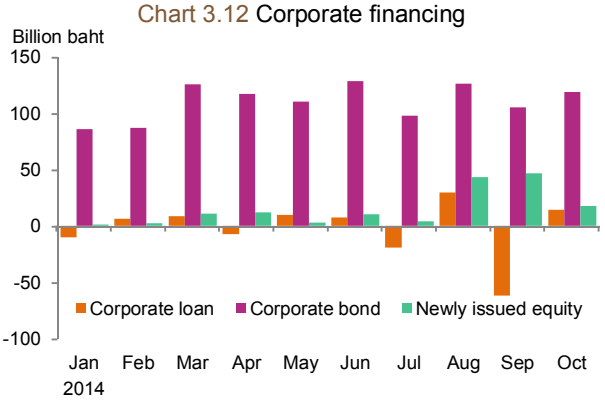
Chart 3.11 Other Depository Corporations' private credits



Source: Bank of Thailand

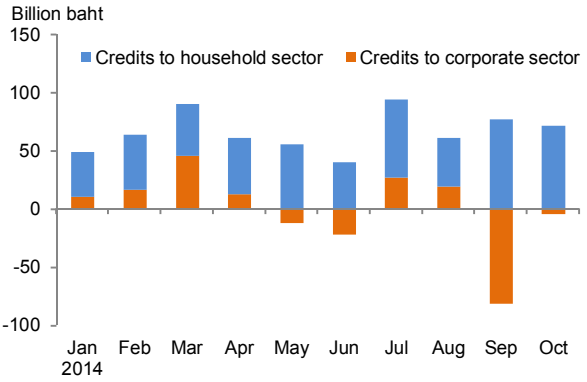
[1/] BBL, KTB, KBANK and SCB

Chart 3.12 Corporate financing



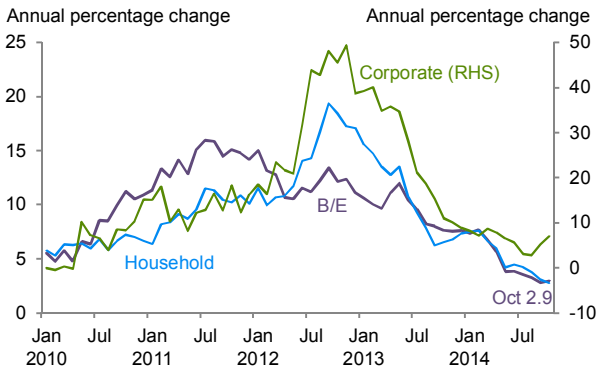
Note: Corporate bonds, newly issued equity and the change in corporate loans
Sources: Bank of Thailand and the Thai Bond Market Association (ThaiBMA)

Chart 3.13 New loans (seasonally adjusted)



Source: Bank of Thailand

Chart 3.14 Other Depository Corporations' deposits



Source: Bank of Thailand

would continue albeit at a lesser extent due to the slower-than-expected economic recovery.

The average Minimum Lending Rate (MLR) of the four largest commercial banks stood at 6.75 percent per annum at the end of November 2014, unchanged from the end of 2014 Q3.

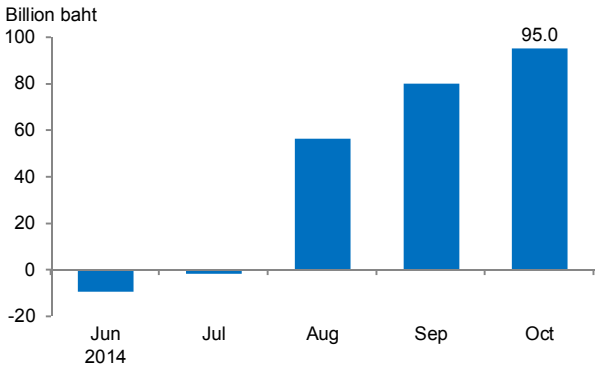
Private credits slowed down in 2014 Q3. At the end of October 2014, private credits expanded by 5.4 percent from the same period last years, decelerating from 6.5 percent at the end of 2014 Q2, **(Chart 3.11)** owing to a slowdown in both credits to the corporate and household sectors. Corporate credits declined due to recovery in private investments which was still at the early stage, coupled with financial institutions' tightening in credit standards on SME loans due to concern on the worsened debt service ability. In addition, a number of large corporates also switched to raise funds through issuing corporate bonds. **(Chart 3.12)** Household credits slowed down mainly from a contraction in demand for auto leasing from the same period last year while growth in other types of household credits remained stable.

New loans remained low compared to historical average though some signs of improvement were noted in October. **(Chart 3.13)** For the periods ahead, credits were expected to expand more favorably as economic recovery firmed up. The outlook was in line with the Senior Loan Officers' survey which indicated that there would be an increase in demand both for credits to the household and corporate sectors while credit standards would remain tight as was the case in earlier periods.

In 2014 Q3, deposits and bills of exchange (B/E) continued to slow down. At the end of October 2014, deposits and B/E expanded by 2.9

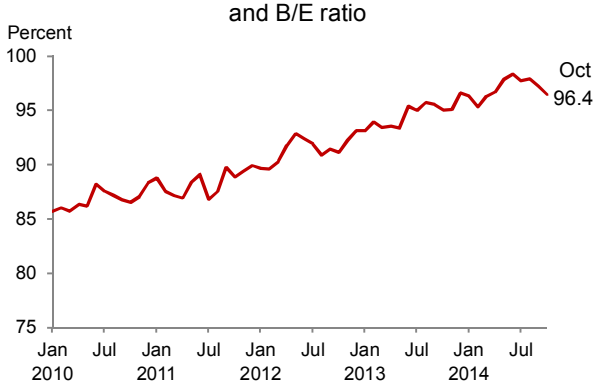
percent from the same period last year, slowing down from 3.8 percent recorded at the end of 2014 Q2, mainly due to a slowdown in commercial banks' deposits in tandem with private credits. **(Chart 3.14)** In addition, depositors relocated deposits to invest in other types of higher-yield savings under the currently low interest rate environment. However, new deposits from both the corporate and household sectors tended to increase continuously since August 2014, partly due to an increase in competition for deposits through special deposit products. **(Chart 3.15)** At the end of 2014 Q2, commercial banks' loan to deposit and B/E ratio stood at 98.3 percent, decreasing from 96.4 percent at the end of October 2014 **(Chart 3.16)**

Chart 3.15 New deposits (corporate and household)



Source: Bank of Thailand

Chart 3.16 Commercial banks' loan to deposit and B/E ratio



Source: Bank of Thailand

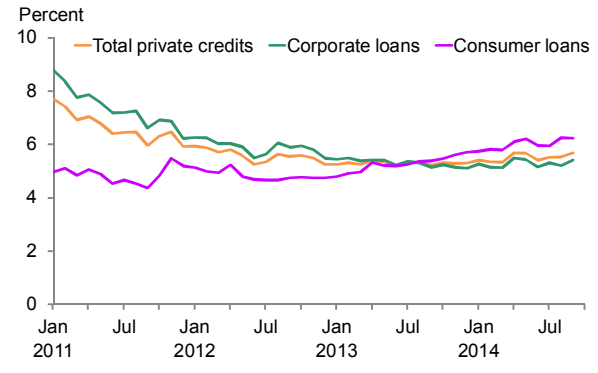
Stability of financial institutions

Stability of financial institutions in 2014 Q3 remained sound. Despite some impact of the economic slowdown which caused private credits to decelerate and loan quality to deteriorate, provisioning for loss and doubtful loans continued to be high to absorb potential economic uncertainties. Commercial banks capital remained high.

In 2014 Q3, commercial bank profitability reduced from the previous quarter due to higher operating expenses and lower dividend income. As a result, commercial bank profitability declined from 59.8 billion baht in the previous quarter to 53.8 billion baht this quarter. **(Table 3.1)**

The slow economic recovery from both internal and external demand affected loan quality to slightly deteriorate as reflected by higher delinquency and NPL ratio, especially for consumer loans. **(Chart 3.17)**

Chart 3.17 Delinquency and NPL ratio



Source: Bank of Thailand

As of 2014 Q3, commercial banks' provisioning for loss and doubtful loans continued to be high to absorb potential economic uncertainty. The ratio of actual loan loss provision to regulatory loan loss provision stood highly at 166.9 percent. In addition, the Capital Adequacy Ratio remained high at 17.1 percent, increasing from 15.9 percent in the previous quarter.

3.3 Non-financial sectors

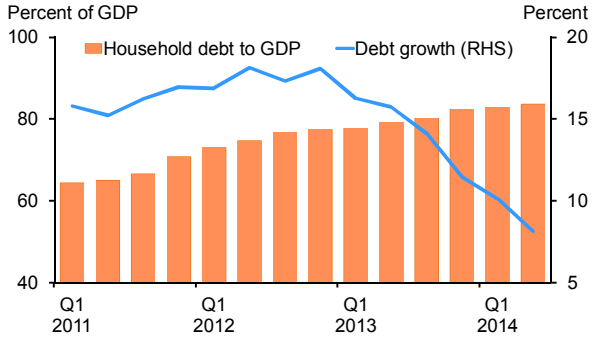
Fragilities in the non-financial sectors were reduced. Corporate profitability gradually improved following a gradual economic recovery trend. The real estate sector recovered slowly. The effect of economic outlook on debt servicing ability and income of the private sector remained an important risk to be monitored in the periods ahead.

Household sector

New household debt accumulation continued to decelerate. However, debt service burden of households remained high and resulted in a slight deterioration in household debt servicing ability. With this limitation, growth in household spending would continue to be sub-par for some periods ahead.

Growth in household debt (loan to households from financial institutions) continued to decelerate from 11.4 percent at the end of 2013 to 10.1 percent and 8.1 percent at the end of 2014 Q1 and 2014 Q2, respectively. **(Chart 3.18)** Risk of new debt accumulation reduced due to households' ongoing caution towards their spending and financial institutions' tightened credit

Chart 3.18 Ratio of household debt* to GDP

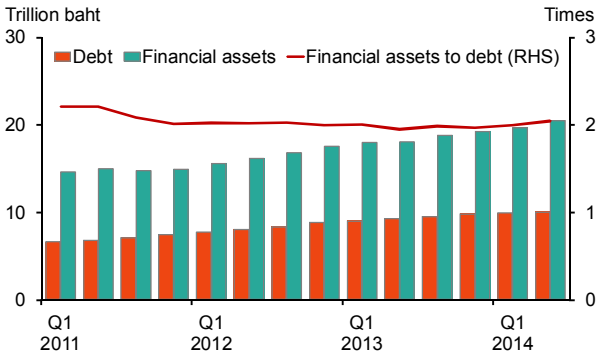


Note: *Loans to households from financial institutions
Source: Bank of Thailand

standard. In addition, household liquidity remained high as reflected by the ratio of household financial assets to household debt which stabilized at 2. **(Chart 3.19)**

Nonetheless, debt servicing ability of households slightly deteriorated owing to high household debt burden and a slower-than-expected economic recovery. In this regard, the delinquency and NPL ratio of commercial banks' consumer loans rose from 5.9 percent at the end of 2014 Q2 to 6.2 at the end of 2014 Q3. **(Table 3.1)** Such high level of debt would restrict household spending, resulting in its sub-par expansion for some time. In the periods ahead, the effects of economic recovery outlook on household income, household spending and household debt servicing ability, would need to be monitored.

Chart 3.19 Ratio of financial assets to debt*



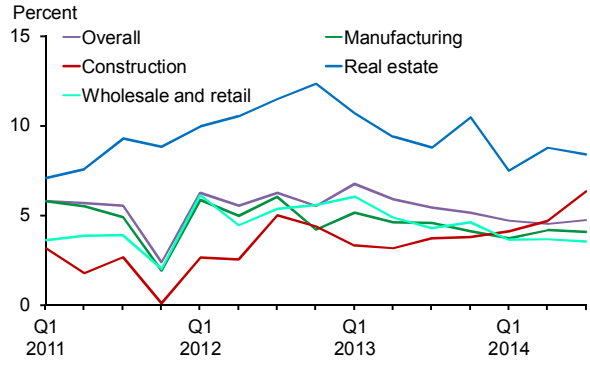
Note: *Loans to households from financial institutions
Source: Bank of Thailand

Corporate sector

In 2014 Q3, corporate profitability slightly improved from the previous quarter especially in the construction sector. Meanwhile, the wholesale and retail sector along with Small and Medium Enterprises (SMEs) had yet to fully benefit from economic recovery. Nonetheless, overall stability of the corporate sector was well maintained with corporate debt burden and liquidity stabilizing close to their long-term averages.

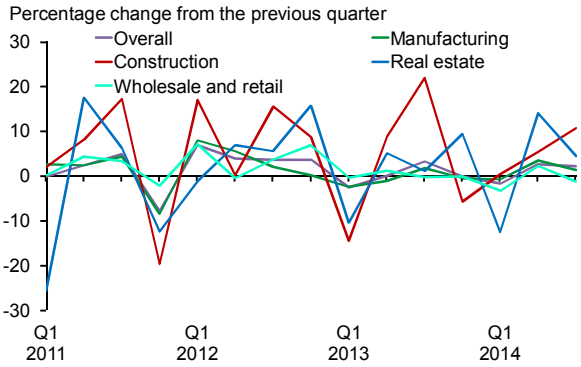
In 2014 Q3, corporate profitability slightly improved from the previous quarter as reflected in an increase in Net Profit Margin (NPM) to 4.7 percent. **(Chart 3.20)** In particular, income recognition on backlog orders in the construction sector provided a positive impact on debt burden and debt servicing ability. On the contrary, sales in the real estate sector recovered slowly **(Chart 3.21)** as the slower-than-expected economic recovery

Chart 3.20 Net Profit Margin (NPM)*



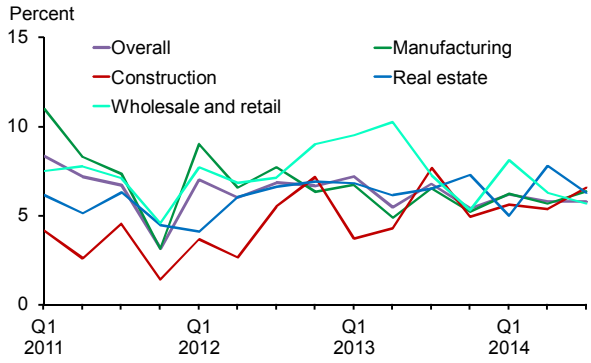
Note: *Median
Sources: Stock Exchange of Thailand and calculation by Bank of Thailand

Chart 3.21 Corporate sales expansion*



Note: *Median
Sources: Stock Exchange of Thailand and calculation by Bank of Thailand

Chart 3.22 Interest Coverage Ratio (ICR)*



Note: *Median
Sources: Stock Exchange of Thailand and calculation by Bank of Thailand

weighed on buyers' decisions to purchase new homes.

Though consumer confidence began to pick up after the political situation was resolved, some sectors did not fully benefit from improvement in outlook yet. For instance, sales of durable goods in the retail sector still contracted from the previous quarter as consumers continued to be cautious in their spending. As a result, some negative effects on corporate profitability and debt servicing ability could be experienced. **(Chart 3.22)** In addition, the low economic growth had some negative impact on SMEs' debt servicing ability as reflected by an increase in delinquency and NPL ratio from 2.0 percent at the end of 2014 Q2 to 2.3 in 2014 Q3. However, overall debt and corporate liquidity was well maintained whereby the Debt to Equity (D/E) Ratio and the Current Ratio (CR) in 2014 Q3 registered at 0.8 and 1.5, respectively, staying close to their 10-year averages.

Looking ahead, factors which could impact corporate profitability included the continuity of economic recovery and income from foreign tourists during high-season at the end of the year which could somewhat facilitate recovery in sales of service-related sectors.

Real estate sector

Real estate markets in Bangkok and its vicinities recovered continually. However, activities were rather limited to the middle-income buyer group. As a result, developers did not push for new sales openings. This observation was due to high indebtedness of some households and maintenance of high credit standards by commercial banks. There were some signs of deterioration in mortgage loan quality which would be monitored

in conjunction with consumers' purchasing power in the periods ahead.

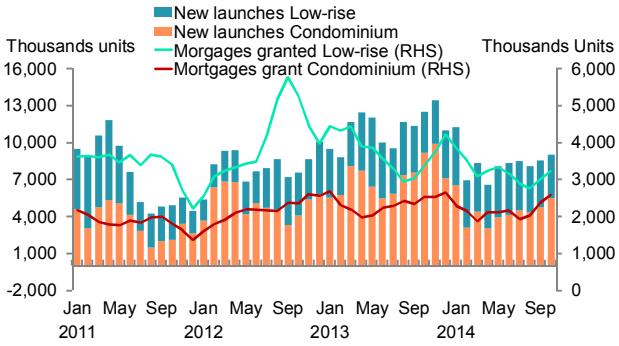
Real estate activities picked up continually both in terms of demand and supply. The unit reservation rate increased from 27.9 percent in 2014 Q3 to 34.5 percent in October 2014, owing to reservation of condominiums in the higher than 5 million baht per unit category. This development reflected that purchasing power of middle-income earners' was still maintained and was in line with increases in the number of new mortgage approvals and new launches from the previous quarter, especially for condominiums. **(Chart 3.23)** Nonetheless, the fragile economy still had some negative impacts on income and purchasing decisions of low-income buyers.

The high level of household debt as a result of previous debt accumulation caused household's debt servicing ability to slightly deteriorate as reflected by an increase in the NPL ratio and the delinquency ratio of mortgage loans in 2014 Q3. **(Chart 3.24)**

However, there was still no clear sign of real estate speculation. The number of borrowers holding more than one property in 2014 Q3 remained close to the end of 2013. **(Chart 3.25)** This was due to buyers' cautious spending behavior and financial institutions' high credit standards as reflected by the Debt Service Coverage Ratio (DSCR) in October 2014 which stood at 4.4 times, stabilizing close to its 5-year historical average. **(Chart 3.26)**

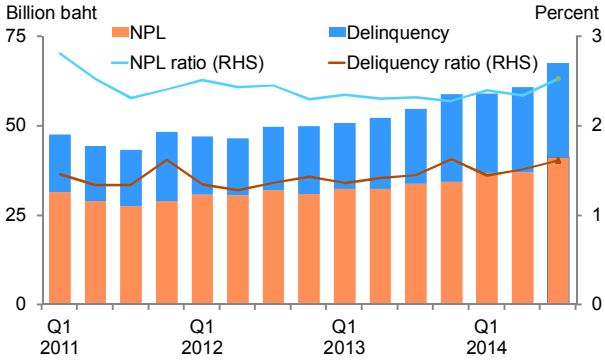
In the periods ahead, the real estate sector was poised to recover continually in tandem with the economy and financial institutions' expectation of higher demand for mortgage loans. Nonetheless, mortgage loan quality, the effect of

Chart 3.23 Number of new launches and new home mortgages*



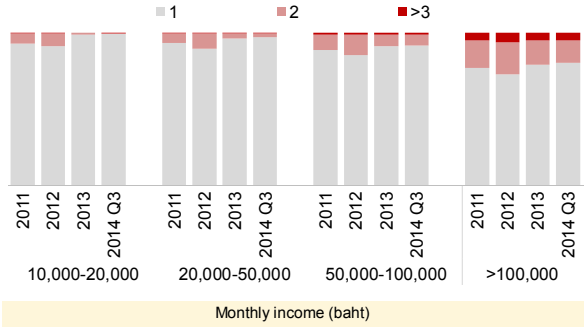
Note: *new home mortgages by commercial banks for Bangkok and its vicinities calculated using a rolling window of 3 years, seasonal adjusted
Source: Agency for Real Estate Affairs (AREA) and Bank of Thailand

Chart 3.24 Commercial banks' mortgage loan quality



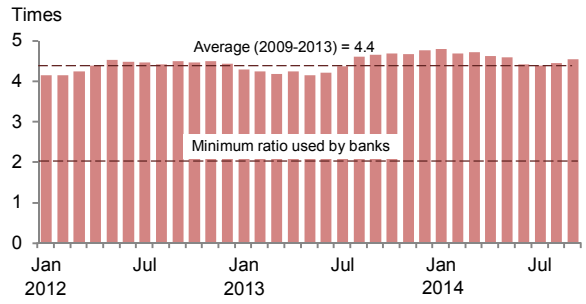
Source: Bank of Thailand

Chart 3.25 Commercial Banks' mortgages classified by number of properties held by borrowers*



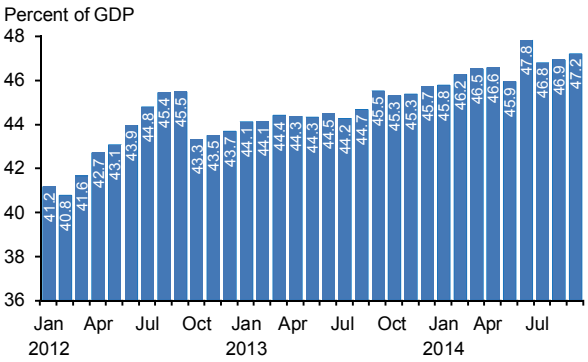
Note: * Mortgages for new and pre-owned properties from January 2008 - September 2014, calculated using a rolling window of 3 years and then comparing the number of borrowers in the third year of each window
Source: Bank of Thailand

Chart 3.26 Debt Service Coverage Ratio (DSCR)



Note: (1) DSCR = monthly income/monthly debt payment (principal and interest)
(2) Calculated for new mortgages in Bangkok and its vicinity
(3) 50th percentile (3-month moving average)
(4) Includes only debt services for new mortgages by commercial banks
Source: Bank of Thailand

Chart 3.27 Public Debt to GDP



Note: Calendar year
Source: Public Debt Management Office

economic recovery on households' purchasing power and debt servicing ability still needed to be monitored in the periods ahead.

Fiscal sector

Stability of the fiscal sector continued to be sound overall. The high level of treasury balance helped cushion the impact of lower-than-targeted revenue collection. Meanwhile, the ratio of public debt to GDP increased slightly but was not of much concern.

Stability of the fiscal sector continued to be sound overall, as reflected by 1) the high level of treasury balance which helped cushion the impact of lower-than-targeted revenue collection. At the end of September 2014, treasury balance stood at 496 billion baht, lower than the same period last year of 605 billion baht. This is partly as a result of the need to use the funds to compensate revenue collection in fiscal year 2014 which was approximately 0.2 trillion baht below target due to the economic slowdown and the postponement in diesel oil tax increase. Despite these factors, treasury balance remained high enough to provide reserve for the government if needed; and 2) the ratio of public debt to GDP which increased slightly from 46.8 percent in July 2014 to 47.2 percent in September 2014. **(Chart 3.27)** Nonetheless, this level of public debt was still well below the fiscal sustainability threshold of 60 percent of GDP. In this regard, the increase in debt was due to borrowings to finance the budget deficit, loans under the Emergency Decree on Investment for Water Resource Management and Future Development, B.E. 2555 (2012), urban railway project, and Thai baht borrowings to replace foreign currency denominated loans to be

used for economic recovery and infrastructure development (Development Policy Loan - DPL).

Looking ahead, fiscal reforms on the revenue side, including an increase in the income tax base and tax rates as well as implementation of the domestic energy price restructuring program would need to be implemented along with fiscal reforms on the expenditure side, namely implementation of a check and balance system especially for non-budgetary expenditure and quasi-fiscal activities. Such reforms would help enhance stability of Thailand's fiscal sector in the long-run.

Table 3.1 Sectoral Indicators for assessing risks and vulnerabilities to financial stability

Indicators	2013	2013		2014				
		Q3	Q4	Q1	Q2	Q3	Oct	Nov
1. Financial markets sector								
Bond market								
Bond spread (10 years–2 years)	1.0	1.1	1.2	1.5	1.4	1.2	1.0	0.9
Equity market								
SET Index (End of period)	1,298.7	1,383.2	1,298.7	1,376.3	1,485.8	1,585.7	1,584.2	1,593.9
Actual volatility (SET Index)[1/]	19.8	26.1	19.8	18.0	10.8	9.1	9.7	9.1
Price to Earnings Ratio (times)	16.6	15.7	15.2	14.8	17.0	17.8	18.3	18.6
FX market								
Actual volatility (baht) (% annualize)[2/]	6.2	7.8	4.4	4.6	3.8	3.8	3.8	2.8
Nominal effective exchange rate (NEER)	107.0	105.6	104.6	102.7	102.7	104.6	105.7	106.9
Real effective exchange rate (REER)	106.5	105.1	103.9	101.9	101.9	103.4	104.1	n.a.
2. Financial institutions sector[3/]								
Minimum lending rate (MLR)[4/]	6.8	7.0	6.8	6.8	6.8	6.8	6.8	6.8
12-month fixed deposit rate[4/]	2.2	2.5	2.2	1.7	1.7	1.7	1.7	1.7
Capital adequacy								
Regulatory capital to risk-weighted asset (%)	15.7	16.5	15.7	15.5	15.9	17.1		
Earnings and profitability								
Net profit (billion baht)	203.8	54.4	49.0	50.5	59.8	53.8		
Return on assets (ROA)	1.32	1.40	1.23	1.26	1.48	1.33		
Liquidity								
Loan to deposit and B/E	96.6	95.5	96.6	95.9	97.9	97.2		
3. Household sector								
Financial assets to debt (times)	2.0	2.0	2.0	2.0	2.0	n.a.		
NPL and delinquency ratio (%)								
Thai commercial banks :								
Consumer loans	5.7	5.4	5.7	5.8	5.9	6.2		
Mortgage loans	3.9	3.7	3.9	3.8	3.8	4.1		
Auto leasing	9.4	8.8	9.4	9.9	10.5	10.6		
Credit cards	4.7	4.9	4.7	5.3	5.5	6.1		
Other personal loans	4.6	4.2	4.6	4.8	5.0	5.6		
4. Non-financial corporate sector [5/]								
Operating profit margin (%)	5.8	5.4	5.1	4.7	4.5	4.7		
Debt to equity ratio (times)	0.8	0.8	0.8	0.8	0.8	0.8		
Income coverage ratio (times)	6.2	6.7	5.4	6.1	5.8	5.7		
Current ratio (times)	1.5	1.5	1.5	1.6	1.5	1.5		

Table 3.1 Sectoral Indicators for assessing risks and vulnerabilities to financial stability

Indicators	2013	2013		2014				
		Q3	Q4	Q1	Q2	Q3	Oct	Nov
5. Real estate sector								
The number of approved mortgages from banks (Bangkok and its vicinity)	71,701	17,156	19,609	12,880	16,315	17,345	4,903	n.a.
Single-detached and semi-detached houses	18,353	4,320	4,452	3,331	4,206	4,230	1,137	n.a.
Townhouses and commercial buildings	25,261	5,761	6,448	4,784	5,921	5,844	1,606	n.a.
Condominiums	28,087	7,075	8,709	4,765	6,188	7,271	2,160	n.a.
The number of new openings (Bangkok and its vicinity)	131,550	33,953	32,837	24,883	24,911	25,448	7,903	n.a.
Single-detached and semi-detached houses	17,226	4,171	4,154	4,392	5,351	4,763	1,225	n.a.
Townhouses and commercial buildings	30,074	7,208	7,472	7,499	7,261	6,611	686	n.a.
Condominiums	84,250	22,574	21,211	12,992	12,299	14,074	5,992	n.a.
Housing price index[6/]								
Single-detached houses (including land)	111.5	114.5	112.9	114.7	115.5	119.3	119.6	n.a.
Townhouses (including land)	121.3	123.8	124.3	125.7	128.6	134.2	134.5	n.a.
Condominiums	141.7	144.4	142.0	146.2	153.1	156.0	155.4	n.a.
Land	138.3	137.4	146.2	145.9	148.3	153.0	152.9	n.a.
6. Fiscal sector								
Public debt to GDP (%)	45.7	45.5	45.7	46.5	47.1	47.2	n.a.	n.a.

[1/] Daily volatility (using exponentially weighted moving average method)
[2/] Annualized standard deviation of return
[3/] Based on data of all commercial banks
[4/] Average value of 4 largest Thai commercial banks
[5/] Only listed companies on SET (median)
[6/] Based on data of new approvals by commercial banks using hedonic regression method (January 2009 = 100)
(Due to the fact that the structure of the housing market has changed significantly, the Bank of Thailand is currently improving the price index to better reflect the structure change)

Impact of the Japanese yen's depreciation on the Thai economy

The Japanese yen has been depreciating since 2013, after the government announced the Quantitative and Qualitative Monetary Easing (QQE) measures. The depreciation became more pronounced after the Bank of Japan announced an increase in QQE and the resolution of parliament in October 2014.[1/]

Table 1 Japan's exchange rate and trade balance

	Exchange rate[1/] (yen/U.S. dollar)	Real Effective Exchange Rate (REER)[2/]	Average monthly trade balance[3/] (billion yen)
May 1995 – August 1998	71.6%	35.1%	797
January 2000 – February 2002	25.2%	20.5%	701
January 2004 – May 2007	15.0%	25.0%	791
January 2013 – October 2014	23.4%	13.6%	-1,031

Notes: [1/] and [2/] show the Japanese yen's depreciation against the U.S. dollar in designated periods
[3/] is the average monthly trade balance in designated periods

Sources: Bloomberg and Bank for International Settlements (BIS)

However, the weak yen has not yielded much benefit to the Japanese economy. This observation is due to a structural shift in Japan's exports such that it has become more dependent on imports of fuel and energy products for electricity production, following the nuclear incident in 2011.[2/] **(Table 1)** Looking ahead, it is assessed that the QQE would cause the Japanese yen to continue depreciating for the next two years. Moreover, once the impact of other economic stimulus measures substantiate and various structural problems are resolved, the Japanese economy would gradually recover, resulting in some appreciation in the Japanese yen.

The Japanese yen's depreciation would affect the Thai economy through the following channels.

1. Trade channel

In the short-term, Thai exports to Japan are likely to decrease somewhat, due to price bargaining by Japanese importers. However, in the long-term, Thailand should benefit from the weakening Japanese yen in the same way as most Asian countries.

1.1 Thai merchandise exports that are parts of Japan's supply chains would increase though export value may decrease in the short-term due to bargaining by Japanese firms. Previous studies show that exchange rate movements did not significantly affect Thai export volumes as the majority of Thailand's exports to Japan include necessary goods, raw materials and intermediate goods.[3/] **(Chart 1**) However, exporters may face some price bargaining by Japanese firms, particularly for labor-intensive goods and commodities with intense competition. Nonetheless, the

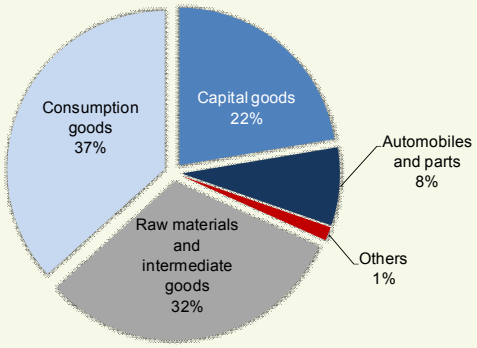
[1/] The Japanese yen depreciated by 21.9 percent from the beginning of 2013 and 12.1 percent year to date.

[2/] However, a decline in global oil prices would help offset the impact of the Japanese yen's depreciation such that the trade balance would not decrease by much.

[3/] Most Asian countries export necessary goods to Japan. The Japanese yen's depreciation would therefore have a minimal impact on export volume of these goods, particularly fuel and energy products from Indonesia, Malaysia and South Korea, along with food products from Thailand.

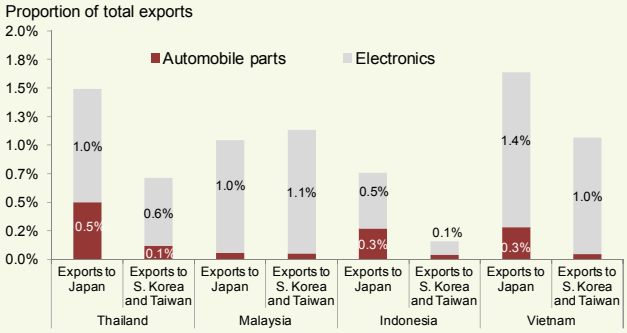
Japanese yen's depreciation would help promote Japan's exports of final products, which would, in turn, benefit Thai exports that are parts of Japan's supply chains such as automobile parts. **(Chart 2)** Meanwhile, the benefits on Thai exports that are parts of Japan's supply chain for intermediate goods such as electronic goods would be limited to those used in production of Japan's major export goods. Moreover, the indirect impact arising from Thailand's exports to Japan's competitors such as South Korea and Taiwan which could stand to lose some price competitiveness, was not expected to be significant because Thailand is not a major part of the two countries' supply chains unlike Malaysia and Vietnam. Overall, it is expected that Thailand would benefit from the Japanese yen's depreciation through improvement in Japan's exports and the gain would be more than for neighboring economies.

Chart 1 Structure of Thai exports to Japan (2013)



Source: Bank of Thailand

Chart 2 Proportion of intermediate good exports (electronics and automobile parts) of ASEAN countries to Japan, South Korea and Taiwan



Source: Bank of Thailand

1.2 Costs of imports from Japan, particularly automobile parts and metal products, would decline when converted to Thai baht terms. Nonetheless, the Japanese yen's depreciation would not cause import volume from Japan to rise significantly as import volume is mainly determined by domestic demand and Thailand's automobile exports. The observation is in agreement with a survey of businesses which found that most imports from Japan are high tech raw materials and capital goods that Thailand cannot produce. Meanwhile, price is not a major issue for intra-group trade, and import product specifications are usually set by parent companies in Japan, for example metal sheets and engines. Moreover, businesses that rely on domestic raw materials are likely to continue this practice in the periods ahead, especially the automobile industry, given the satisfactory quality and availability of domestic inputs.

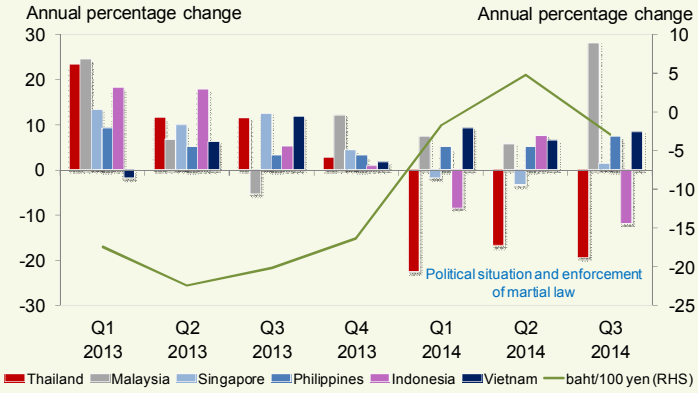
2. Trade in services and income channel

Income from Japanese tourists may decline in the short-term. As recovery in the Japanese economy firms up, it can be expected that this part of tourist income would improve. Since the beginning of 2014, the domestic political uncertainty has led to a decline in the number of Japanese tourists. **(Chart 3)** Nonetheless, the number of Japanese tourists has begun to pick up after the political problem was resolved as Thailand continues to be Japan's favorite tourist destination. However, the Japanese yen's depreciation may cause tourists to shorten the period of stay or cut back on travel spending. In the long-term when Japan's economy improves, it can be expected that tourist income would also pick up.

Regarding the expenditure of Thai tourists travelling to Japan, apart from the visa waiver that became effective since July 2013 and the increase in low-cost airlines' flights to Japan, the Japanese yen's depreciation would likely stimulate Thai people to travel to Japan. However, income continued

to be a major factor in making travelling decision. As seen in 2014 Q2, the number of Thai tourists travelling to Japan slowed down in line with the declining domestic economy even though the Japanese yen was depreciating during the same period. Thus, should the Thai economy pick up and the Japanese yen continue to depreciate, the number of Thai tourists travelling to Japan would likely increase.

Chart 3 Number of Japanese tourists to short-distance destinations



Note: During the last 2 years, some Japanese tourists switched travelling plans from China and South Korea to ASEAN countries due to international dispute

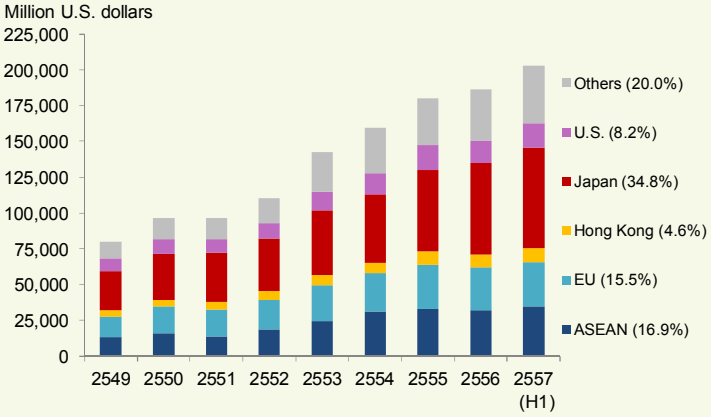
Source: Japan Tourism Marketing Co.

Concerning profit and dividend repatriation by Japanese subsidiaries, the Japanese yen's depreciation has induced greater flows of funds as businesses can receive higher amount in Japanese yen terms. However, if the Japanese subsidiaries have plans to expand investment in Thailand, they may only send some part of the profit home and reinvest the rest according to their plans.

3. International capital flows and external debt channel

The Japanese yen's depreciation is not a key consideration in Japan's Foreign Direct Investment (FDI). Rather, decisions are based on the fact that Japan has many domestic structural impediments namely high labor costs which stem from labor shortage and the aging society. Thailand possesses sound economic fundamentals, necessary infrastructures and financial services and locates in a strategic location, making it a suitable production base and distribution hub for Japanese exports to Asia. In addition, Japan is also expanding its financial services into the region. FDI in Thailand has mainly come from Japan **(Chart 4)**, especially for the automobile and electronics industries. Thus, the Japanese yen's depreciation does not have a large effect on the amount of FDI. Nonetheless, it may have an effect on the timing of capital flows. Meanwhile, Thai Direct Investment (TDI) to Japan has been low in the past due to lack of business opportunities. Most TDI has been in a form of intra-group trade finance which varies according to the amount of intra-group trade.

Chart 4 Foreign investors' outstanding FDI in Thailand



Source: Bank of Thailand

Portfolio investment between Thailand and Japan is also marginally affected given the limited role of Japanese investors in domestic securities investment as they prefer lower-risk financial assets of major economies. Thais' investment in Japanese securities is also limited

because of their low returns. However, should the Japanese yen's depreciation lead to improvement in Japan's economy and capital market, Thais' investment in Japanese securities may rise.

The Japanese yen's depreciation does not significantly reduce Thai external debt given the small proportion of Japanese yen denominated debt. In 2014 Q3, this proportion totaled only 6.5 percent of Thailand's total external debt. In addition, as most debtors have already hedged against foreign exchange risk, the Japanese yen's depreciation would not render much.

In summary, the Japanese yen's depreciation would not significantly benefit Japan's economy due to a structural shift in its exports and higher degree of energy imports. In the short-term, some negative impact on the Thai economy would be experienced mainly through trade and tourism. In this connection, Thailand's current account deficit with Japan would enlarge, especially through tourist income. Meanwhile, the effects on foreign investment would be minimal as FDI considerations are mainly based on long-term fundamentals while there is limited portfolio investment between Thailand and Japan. In the long-term, if the Japanese yen's depreciation is significant enough to stimulate Japan's exports and economic growth, benefits would also fall on Thailand which plays a key part in Japan's supply chains. **(Table 2)**

Table 2 Impacts of the Japanese yen's depreciation through various channels

Impact	Short-term	Long-term	Notes
Trade			
◆ Thai exports	-	+	Export value to Japan decreases in the short-term through price bargaining. Looking ahead, should Japan's exports pick up, Thailand would benefit through its role in Japan's supply chains.
◆ Thai imports	+	+	Import value reduces in Thai baht terms but import volume would be unaffected as it depends on domestic demand and exports.
Income and transfers			
◆ Japanese tourists (tourist income)	-	+	Tourist income decreases in the short-term but should Japan's economy pick up in the future, this part of income is expected to increase.
◆ Thai tourists (tourist expenditure)	o	o	Income is a key deciding factor for travel plans. The Japanese yen's depreciation is only a supporting factor.
◆ Profit and dividend repatriation	-/o	-/o	The Japanese yen's depreciation would induce higher repatriation but it also depends on profitability and investment plans.
Capital flows			
◆ FDI	o	o	FDI depends on long-term economic fundamentals.
◆ Portfolio investment	o	o	Amount of portfolio investment between Thailand and Japan is small.
◆ External debt	o	o	Proportion of Japanese yen denominated debt is small and most debtors have already hedged against foreign exchange risk.

Source: Bank of Thailand